THE STATE
versus
MOSES MPOFU
and
MIKE CHIMOMBE

HIGH COURT OF ZIMBABWE
KWENDA J
HARARE, 22 October 2025

Assessors: *M C Chitsiga*
T Kuwanda

Criminal Trial

W Mabhaudhi & L Masuku for the State
T Dzvetero & J Koto for the 1st accused
L Madhuku, GRJ Sithole & A Mugiya for the 2nd accused

KWENDA J: The accused persons were arraigned before us for a joint trial charged with fraud as defined in s136 of the Criminal Law (Codification and Reform) Act *[Chapter9:07]* (the Criminal Code). The commencement of the trial set down on the 1st of August 2024 was delayed because several legal issues came up for determination by the judge before the actual trial could start. The trial eventually got underway on the 27th of May 2025. The trial took almost a year to complete. At the conclusion of the trial, we delivered an *ex-tempore* judgment wherein we found the accused persons guilty as charged. We undertook to upload written reasons for the verdict on the Integrated Electronic Case Management System. These are they.

The background facts as alleged by the State

Sometime during the year 2021, the Government of Zimbabwe set up a Presidential Goat Pass-On Scheme to alleviate poverty among the less privileged persons across the country's ten provinces. The target was to buy 500 000 special goat breeds for distribution to households throughout Zimbabwe in the scheme to be administered by the Ministry of Lands, Agriculture, Water, Fisheries and Rural Development [hereinafter referred to as the Ministry].

Pursuant to the mandate, the Ministry advertised a tender on the 3rd of September 2021 for the supply and delivery of the goats together with a standard bidding template

setting out the mandatory requirements for eligibility to submit bids. Significantly, the tender was open to companies only, which were tax compliant. The bidder was required to submit identical fastened copies of its bid (preferably spiral bound) with one marked as the 'original' and two others, each marked as a 'copy'. The name of the company submitting a bid would appear on the face of the bid. Other mandatory documents to be submitted were a certificate of incorporation, a list of directors on form CR 14, a valid ZIMRA tax clearance certificate for the year 2021 and a valid NSSA compliance certificate for the same period, all in the name of the bidding company. A clear statement of the payment terms and delivery period was also mandatory.

The Ministry received bids from Kotrum Enterprises (Pvt) Ltd, Millytake Enterprises (Pvt) Limited, Zvikomborero Farms (Pvt) Ltd and Blackdeck Livestock and Poultry Farming. The bids by Kotrum Enterprises Pvt Ltd and Millytake Enterprises failed to meet the minimum requirements for valid bids leading to their disqualification. The bids submitted by Zvikomborero Farms (Pvt) and Blackdeck Livestock and Poultry Farming sailed through and the two successful bidders were, each, awarded specified portions of the tender.

The bid submitted by Blackdeck Livestock and Poultry Farming is at the centre of this trial.

The allegation by the State is that the bid submitted by Blackdeck Livestock and Poultry Farming was fraudulent in that it misrepresented the following material facts.

Firstly, by submitting the bid in the name of Blackdeck Livestock and Poultry Farming the false impression was created that it is a company incorporated in terms of the laws of Zimbabwe, with the legal capacity to, and lawfully known by that name, in terms of the laws of Zimbabwe. As a result of the misrepresentation the Ministry entered into a contract with Blackdeck Livestock and Poultry Farming on 16 November 2021, for the supply and delivery of 632 001goats for Presidential Goats pass-on Scheme valued at **US$87 757 168.00.** Blackdeck Livestock and Poultry Farming appears as a party to the agreement and supplier of the goats. The contract was signed by the 1st accused (who is a director of a company with almost a similar name, known as Blackdeck (Pvt) Ltd) on behalf of Blackdeck Livestock and Poultry Farming and one Tinashe Chimombe witnessed. All this was notwithstanding the reality that Blackdeck Livestock and Poultry Farming was not a company and, thus lacked capacity to act and eligibility to submit a bid.

Secondly, Blackdeck Livestock and Poultry Farming supported the impugned bid with the Zimbabwe Revenue Authority (ZIMRA) clearance certificate which did not belong

to it. It turned out to be a certificate issued by ZIMRA to Skywalk (Pvt) Ltd, which had been altered to appear as a valid certificate issued to Blackdeck (Pvt) Ltd for the year 2021. In the year 2021, neither Blackdeck Livestock and Poultry Farming nor Blackdeck (Pvt) Ltd was tax compliant or eligible to be issued with a ZIMRA clearance certificate. As a result of the misrepresentation Blackdeck Livestock and Poultry Farming was able to escape disqualification.

Thirdly, Blackdeck Livestock and Poultry Farming supported the contested bid with the National Social Security Authority (NSSA) compliance certificate which did not belong to it. It turned out to be a certificate issued by NSSA to Skywalk (Pvt) Ltd, which had been altered to appear as a valid certificate issued to Blackdeck (Pvt) Ltd for the year 2021. In the year 2021, neither Blackdeck Livestock and Poultry Farming nor Blackdeck (Pvt) Ltd was tax compliant or eligible to be issued with a NSSA clearance certificate. Blackdeck (Pvt) Ltd had been deregistered by NSSA in 2016. As a result of the misrepresentation Blackdeck Livestock and Poultry Farming was able to escape disqualification.

Fourthly, the State alleged that Blackdeck Livestock and Poultry Farming had no capacity to deliver the required number of goats as shown by its subsequent behaviour in misappropriating most of the money that had been paid by the Government of Zimbabwe, in expectation of delivery of goats, equivalent in value to the money paid. The Ministry paid a total sum of ZWL$1.6 billion (equivalent to US$7 712 197.10 at the prevailing interbank rates) into the CABS bank account of Blackdeck (Pvt) number 1006126120 provided by Blackdeck Livestock and Poultry Farming in the contract entered into between the Government of Zimbabwe and Blackdeck Livestock and Poultry Farming for the supply of goats. Upon receipt of the money from the Ministry, Blackdeck (Pvt) Ltd immediately, transferred a total sum of ZWL$200 000 000.00 into the CABS bank account of Millytake Enterprises Pvt Ltd number 1129742431, a company controlled by the 2nd accused person.

It is the State case evidence that linked the two accused persons to the fraud hence the charge. Following, alleged, delays in the delivery of the goats, the Ministry's officials made several engagements with the two accused persons demanding delivery. The accused persons in an effort to further deceive and convince the ministry officials falsely claimed to have mobilised 32 500 goats across the provinces which were ready to be distributed to final beneficiaries. The Ministry of Lands then deployed teams to verify if the accused persons were holding the stated number of goats at the holding sites supplied by the accused but could only find 3 713 goats at the said sites. The accused persons only managed to supply a

total number of 4 208 goats (the rest were babies) valued at US$331 445.25 from the US$7 712 197.10 paid by the Ministry thereby misappropriating US$7 380 751.85 for their personal use.

The defences

Both accused persons pleaded not guilty. Their defences were as follows: -

The first accused.

He averred that the alleged fraudulent bid was submitted by Blackdeck Pvt Ltd, a company duly incorporated in terms of Zimbabwe in 2015, which is eligible to submit the bid and intentionally submitted the bid as Blackdeck Livestock and Poultry Farming because that was its trade name The use of the name was not intended to mislead the Ministry to deal with an entity which did not exist in the eyes of the law since it was clear from all the documentation, submitted with the bid, that the bid belonged to Blackdeck (Pvt) Ltd. The first accused, who is a director of Blackdeck (Pvt) Ltd, participated at the board meeting, where, the company resolved to submit a bid. Blackdeck (Pvt) Ltd outsourced the procurement of the ZIMRA Tax clearance and NSSA compliance certificate to a tax consultant who brought the ZIMRA Tax clearance and NSSA compliance certificate which the company used without the knowledge that they were counterfeit. Blackdeck Livestock and Poultry Farming had the capacity to supply the goats and its failure to perform was caused by a breach committed by the Ministry which failed to pay the required deposit in full. All payments had been made to Blackdeck (Pvt) Ltd and not him in person. He said, although he was a director of Blackdeck (Pvt) Ltd, which submitted the bid, he was not personally liable for any criminal conduct proved against the company because he had not participated in such acts. The matter before the court was not criminal in nature. It was just a contractual dispute between the Ministry and Blackdeck (Pvt) Ltd The cancellation of the contract by the Ministry showed that this matter is a contractual dispute. The State has remedies in contract law which it has not exhausted. The State has not made any efforts to recover any money from the guarantor since there is a guarantee. Resorting to criminal proceedings against 1st accused was wrong, misplaced and unfounded. Even criminal proceedings against Blackdeck (Pvt) Ltd as a company, would be premature and unlawful. He was not the only natural person in control of the company. There were other directors who collectively made decisions in the interest of the company. He was, thus, not solely responsible for everything done by the company or its actions. He had not participated in the compilation and submission of the bid or supporting documents which included the, allegedly, fake ZIMRA tax and NASSA

certificates. He was never, personally, the custodian of the allegedly forged ZIMRA and NSSA certificates. The State had not suffered any prejudice. His prosecution was at the behest of a 'third hand' or interested parties who are doing it for political gain. He prayed for his acquittal.

The 1st accused gave notice of his intention to call five witnesses to give evidence in his defence case whose testimonies he summarised as follows:

He, the **1st accused,** would confirm his defence under oath. **Vusimusi Mpofu**'s testimony would be that Blackdeck (Pvt) Ltd mandated him to outsource the procurement of various mandatory documents required for compliance with various statutory obligations, including, but not limited to, the ZIMRA Tax Clearance Certificate and NSSA compliance certificate. He approached one Kundai Bwanya, a representative of a consultancy company, who obtained and processed both, the ZIMRA Tax Clearance and NSSA compliance certificates for Blackdeck (Pvt) Ltd which he kept in a file which Blackdeck (Pvt) Ltd submitted to the Ministry, truly believing the documents to be true, authentic and genuine. He knew Blackdeck Livestock Poultry and Farming as the trading name of Blackdeck (Pvt) Ltd. **Tichaona Chidembo** would say that he is the one who compiled the bid document for and on behalf of Blackdeck (Pvt) Ltd using documents he obtained from files within the office. He did not receive any papers from the 1st accused. He submitted the bid truly believing the all the documents submitted with it were true and authentic and signed a declaration to that effect. He did not show the documents to the 1st accused before submitting same to the Ministry. He knew Blackdeck Livestock and Poultry Farming as the trade name of Blackdeck (Pvt) Ltd. **Hazvinei Kabisira**, would say that **s**he is also a director of Blackdeck (Pvt) Limited. She would produce all company documents including the certificate of incorporation, CR6, CR5, memorandum and articles of association to prove its incorporation in terms of the laws of Zimbabwe. She was also going to produce the company's letterheads. She was aware that the company resolved to participate in the tender to supply goats under the Presidential Goats Pass-on Scheme. The company outsourced, through its officials, the procurement of all documents mandatory for statutory compliance, including, but not limited to, ZIMRA Tax Clearance and NSSA Compliance certificates. The ZIMRA Tax Clearance and NSSA Compliance certificates were submitted by Blackdeck (Pvt) Limited with the bid believing the same to be true and authentic. The documents were never shown to 1st accused person or herself as a co-director. She went and submitted the bid on behalf of a company, Blackdeck (Pvt) Ltd. She was aware of the use by Blackdeck (Pvt) Ltd of Blackdeck

Livestock and Poultry and Farming as its trade name. **A representative of the consultant was** going to be subpoenaed to give the evidence that would confirm the evidence of the above cited witnesses.

The second accused person's defence outline was as follows:

He denied committing the offence in question and more specifically, making the alleged misrepresentation regarding the incorporation status of Blackdeck Livestock and Poultry Farming. He denied the allegation that he submitted the alleged fraudulent ZIMRA and NASSA certificates. He denied making any misrepresentation regarding the capacity of Blackdeck Livestock and Poultry Farming to supply 632 001 goats. He was not a party to the contract. He did not see why he had been dragged before the courts because there was no evidence linking him to the alleged crime of fraud. He had no relationship with Blackdeck (Pvt) Ltd or the alleged unregistered entity whether as a member, employee, agent, shareholder or director of. He had not, at any time, acted in any authorized capacity, on behalf of the Blackdeck (Pvt) Ltd or the alleged unregistered entity, as alleged by the state.

He averred that the doctrine of common purpose which the State sought to invoke in attaching liability to him did not apply in the circumstances of this case. The facts, as alleged by the State did not show how he was associated with the alleged forged documents or the bid submitted by Blackdeck (Pvt) Ltd or the alleged unregistered entity. He was nowhere near when the agreement was entered into. He was not present when the goats were supplied to the Ministry by Blackdeck (Pvt) Ltd. He did not receive any money from Blackdeck (Pvt) Ltd which was part of the proceeds from what was paid by the Ministry.

The only time that he attended a meeting at the Ministry of Lands was when a dispute had already arisen between Blackdeck (Pvt) Ltd and the Ministry. He attended the meeting in his capacity as the chairperson of a local pressure group called Economic Empowerment Group (EEG) which advocates for prioritisation of local companies by government when entering into agreements for the supply of good and services. The meeting was way after the alleged offence had been committed, and he was simply trying in that capacity for the two parties to find each other.

He said he was a director and shareholder in a company known as Millytake Enterprises (Pvt) Ltd, a company which responded to the invitation for bids and competed in the bidding process but lost. He could never have advanced the interest of a competitor by helping Blackdeck (Pvt) Ltd in preparation of its bid or to negotiate for the contract. Blackdeck (Pvt) Ltd won the tender, whereupon it subcontracted amongst other companies

Millytake Enterprises (Pvt) Ltd, Cedar Farming (Pvt) Ltd and Nomistal Enterprises (Pvt) Ltd to secure goats from them as these companies had readily available goats. The arrangement had nothing to do with the contract between Blackdeck (Pvt) Ltd and the Ministry of Agriculture.

He, too, prayed for his acquittal

The State case

The State adduced the following evidence.

State witness, *Beven Mutsikamahwe* told the court that he was employed by the Ministry of Justice under the Companies, Deeds and Intellectual Properties as a Principal Examiner. He knew Blackdeck (Pvt) Ltd as a company incorporated in terms of the laws of Zimbabwe. Starting from February 2020, a company could do business under an assumed name in terms of section 29 of the Companies and Other Business Entities Act, *[Chapter 24:31* Before using an assumed name, the company must file, with the Registrar, a notice that it will be conducting business under the assumed name, which notice shall state the entity's true name as stated in its constitutive documents; the assumed name under which it will be conducting business; and state that the entity intends to conduct business in Zimbabwe under that assumed name. A certificate of assumed name is issued upon the registration of an assumed name. The Registrar shall keep the notice on public file, together with the entity's constitutive documents.

Under cross examination the witness said Blackdeck (Pvt) Ltd was registered in 2015. Blackdeck Livestock and Poultry Farming was not registered either as a company name on incorporation or assumed name of Blackdeck (Pvt) Ltd or any company. Before 2020 there was no law that compelled companies to registered assumed names. The 1st accused put it to the witness that Blackdeck (Pvt) Ltd started using the assumed name of Blackdeck Livestock and Poultry Farming as its trade name prior to 2020 and the requirement for the registration of assumed names was not a requirement. The witness did not have to answer the question since it was a matter of law to be argued by the parties' legal practitioners.

This witness gave his evidence well.

Fungai Kapfunde told the Court that he was employed by ZIMRA as a supervisor in the Taxpayer Registration Section. He said a Tax Clearance certificate is a document procured issued by ZIMRA to a tax payer who is up to date with tax payments. The tax payer who is tax compliant simply logs onto his ZIMRA portal and, through self-service, procures the certificate. An authentic tax clearance certificate would have, on the face of it, a

ZIMRA logo, the tax year, the name of the tax payer in full, Business Partner [BP] number, a statement that that the taxpayer's position is satisfactory and its expiry date. It would also have a unique authentication code that is generated by the system and could not be duplicated. The ZIMRA system inserts a QR code at the bottom of the document. Both the authentication code and QR code were for verification purposes. He attended to investigators from the Zimbabwe Anti-Corruption Commission who asked him to verify a tax clearance certificate in their possession. He checked document, in the presence of the ZACC officials, and noted that although it purported to be a tax clearance certificate issued to Blackdeck (Pvt) Ltd, it was not authentic because it could not be found in the ZIMRA SAP system. In any event, Blackdeck (Pvt) Ltd had not been issued with a tax payer certificate for the year 2021. When scanned on the QR code, the name which came out was Skywalk Investments (Pvt) Ltd. The witness identified a copy of the counterfeit tax certificate in court through the name, Blackdeck (Pvt) Ltd which appeared on the face of the document and the BP number. He scanned QR code in court and the name Skywalk Investments (Pvt) Ltd appeared. The witness could not tell how the tax clearance certificate issued to Skywalk Investments (Pvt) Ltd had been altered to appear as if it had been issued to Blackdeck (Pvt) Ltd. The witness produced the tax clearance certificate which was accepted and labelled as exhibit (1).

The witness was subjected to cross examination by the defence and at the end of it all the witness' assertion was that the ZIMRA clearance certificate was a counterfeit to the extent that it purported to certify that Blackdeck (Pvt) Ltd was tax compliant in the year 2021. He was certain that the same genuine ZIMRA Tax certificate could not contain information for two separate companies. The witness gave his evidence well. We found him, prima facie, credible.

Taito Mbambi told the court that he was employed by NSSA as the national compliance manager (credit control). He said a NSSA compliance certificate is only lawfully issued to a company which is in compliance with NSSA statutory requirements. The certificate is a mandatory requirement in government tender processes. All government ministries, departments and agencies are instructed to include it among mandatory documents required for eligibility to tender for government contracts. A company which is NSSA compliant can generate a NSSA compliance certificate from a NSSA self-service portal. A valid certificate has security features. He knew Blackdeck (Pvt) Ltd as a company that was previously registered with NSSA but deregistered on the 8th of January 2016 and had been inactive ever since that time. NSSA was approached by ZACC to verify the authenticity of

certificate number 4798/2021 that appeared to have been issued to Blackdeck (Pvt) Ltd for the period 2021. When he checked it, he concluded that it was not authentic. He found evidence of tempering with the certificate because when scanned, the QR code gave the name of a company known as Skywalk Investment (Pvt) Ltd and not Blackdeck Pvt Ltd which was the name on the face of the certificate. He said Blackdeck (Pvt) Ltd could not generate an authentic NSSA compliance certificate because in the year 2021 it was not compliant with NSSA statutory requirements. The alleged counterfeit NSSA compliance forged certificate was produced by the State through the witness as exhibit (2) with the consent of the accused persons. We noted that, on the face of it, it described itself as a compliance certificate issued to Blackdeck (Pvt) Ltd certifying that the company was in full compliance with Statutory Instruments *393 of 1993* (Pension & Other Benefits Scheme) and *68 of 1990* (Accident Prevention & Workers' Compensation Scheme) as read with the National Security Authority Act *[Chapter 17:04]* and valid for the period 01 July 2021 to 30th September 2021. We observed the verification code MBAQP6TX and digital QR code.

The witness was cross-examined by counsel on behalf of both the 1st and 2nd accused. He could not dispute the suggestion that Blackdeck (Pvt) Ltd could have appointed a third party to secure the certificate for it.

The witness gave his evidence well. His evidence was clear. We found him to be credible. His assertion that the compliance certificate was a falsified document remained undisturbed.

John Basera testified that at the time of the alleged commission of the offence he was the Permanent Secretary for the Ministry of Agriculture. In 2021 the Ministry of Lands published an advertisement calling for bids to supply goats for the Presidential Goat Pass-on Scheme. Bids were received from four companies submitted bids which he named as Blackdeck, Millytake, Zvikomborero and Koltram. The tender was part of a government rural development program meant to uplift the livelihood of rural families in areas of the country with low rainfall and areas where livestock was affected by a disease called January disease during the period 2015 to 2020. Over 500 000 goats were supposed to be delivered. Each household was going to get one goat to boost household nutrition and financial security. Bidders were required to supply mandatory documents, indicated in the template obtainable from the Ministry called a 'standard bidding document', which included the bidding company's certificate of incorporation, CR14 (List of Directors), the company CR6, ZIMRA clearance certificate, NSSA compliance certificate and A clear statement of the payment terms and delivery period. Following an adjudication of the bids, recommendations were made to the

Procurement Regulatory Authority of Zimbabwe (PRAZ) which did not raise any objection to the tender processes, outcomes and recommendations, whereupon the Ministry entered into a contract with Blackdeck Livestock and Poultry Farming. The State produced the following documentary exhibits through the witness with the consent of the accused:

(a) the Government of Zimbabwe Standard Bidding Document for the supply and delivery of goats for the Presidential Livestock Input Pass-on Scheme (Exhibit 3) which was the template to be followed by all bids. It listed the documentation to be submitted as the bid document fastened, preferably with spiral binding.

(b) the written contract for the supply and delivery of goats entered between the Government of the Republic of Zimbabwe and Blackdeck Livestock and Poultry Farming dated 16 November 2021 as (Exhibit 4). It was signed on behalf of the Government of the Republic of Zimbabwe and the 1st accused signed on behalf of Blackdeck Livestock and Poultry Farming.

(c) the Government Gazette Extraordinary dated 3rd September 2021 as (Exhibit 5) where the tender was published inviting interested bids.

(d) the Sunday Mail Newspaper Extract produced as (Exhibit 6) where the tender was also published.

(e) Evaluation of tender report by Ministry dated 12 October 2021 produced as (Exhibit 7) prepared by Tender Evaluation Committee which consisted of C Garise as chairperson; and M Rupfutse, P Mashiri, P Mhondiwa and L Kanengoni as members. The committee reported that it adjudicated upon the bids submitted by Kotrum Enterprises, Zvikomborero Fram, Blackdeck Livestock and Millytake. The assessment of the bids was based on the administrative, mandatory, eligibility and qualification criteria requirements stated in the tender document. Kotrum Enterprises and Millytake were disqualified for non-compliance with the requirements of the tender documents. Zvikomborero and Blackdeck Livestock were found to be complaint with administrative, mandatory, eligibility and qualification criteria requirements stated in the tender document published in the government gazette and Sunday mail. The committee recommended Blackdeck Livestock to supply 15 557 mashona goats and 16 444 Matebele goats, 5005 boer goats, 1798 kalahari goats, 360 895 mashona goats and 239 105 matebele goats.

(f) the Notification to Blackdeck (Private) Limited dated 3 November 2021 of the award of the tender to it produced as (Exhibit 8).

(h) the Cancellation of Contract dated 19 August 2022 addressed to Moses Mpofu (1st accused) produced as (Exhibit 10). The document was formally admitted in evidence persons in terms of s314 of the Criminal Procedure and Evidence Act [*Chapter 9:07]*. It was a letter dated 19th of October 2022, signed by Professor Jiri on behalf of the Permanent secretary for Lands, Agriculture, Fisheries, Water and Rural Development, addressed to Blackdeck (Pvt) Ltd, for the attention of the 1st accused, describing itself as a notification of the cancellation of the contract for the supply and delivery of goats under the presidential goats pass-on scheme between the government of Zimbabwe and Blackdeck Livestock and Poultry Farming (Pvt) Ltd, tender number MLAFWRD/HQ/CB/42/21. Its contents were as follows: -

> "Your company Blackdeck Livestock and Poultry Farming (Pvt) Ltd was awarded a tender for the supply and delivery of goats under the Presidential goats pass-on scheme on 16th November 2021. Thereafter, several engagements have been made between the Procuring entity and the contractor following reservations on the contract price which culminated in twenty-five reduction of the initial price. The government still maintain (sic) the position that the contract remains expensive and unsustainable to bankroll.
>
> In light of the above, the Ministry hereby terminates the contract with immediate effect for its convenience in terms of clause 16.3. 1. Clause 16.3.1 of the contract empowers the procuring entity to terminate for its own convenience.
>
> Furthermore, it has been brought to the attention of the Ministry by the Reserve Bank Financial Intelligence Unit that you sourced foreign currency on the black-market using the money you were advanced for the programme. As you are aware, it is against government's policy to source foreign currency on the parallel market. The Ministry cannot be seen to be associated with entities that source foreign currency on the parallel market."
>
> Accordingly, you must deliver to the Ministry holding centres goats that are equivalent to the total advance you were paid failing which proceedings will be instituted against you. company that information had been received from the therefore admitted."

The use of falsified documents by Blackdeck went unnoticed, otherwise it would have led to the automatic disqualification of Blackdeck Livestock and Poultry Farming. The Ministry only got to know that the ZIMRA Tax Clearance Certificate and the NSSA Compliance Certificate were forgeries from ZACC during investigations.

The value of the contract between the Government of Zimbabwe and Blackdeck Livestock and Poultry Farming was about USD87 million, spread over a period of 5 years. As the accounting officer, he realised that there was no value for money when consideration was given to individual prices of the goats. Individual goat price was between USD175 to about

USD250, which he considered exorbitant. In light of that, the Ministry further negotiated the prices which went down to between USD75 and USD92 depending on the breed. These prices included the purchase of the goats, mobilisation costs to the holding pens and onward distribution to far away villages. The contract provided for advance payment upon the supplier submitting a bank guarantee. Blackdeck (Pvt) Ltd brought the bank guarantee whereupon the Ministry paid 1.6 billion RTGS (equivalent to USD7.7million) into a Blackdeck Pvt Ltd bank account. Thereafter, there was no satisfactory progress made by Blackdeck in the fulfilment of the contract whereupon a number of meetings were held with Blackdeck. Blackdeck (Pvt) Ltd, subsequently, wrote a letter to the Ministry saying that the program was going on well with about 32 500 goats in the holding pens pending distribution to the targeted households. The Ministry immediately embarked on a verification.

The outcome of the verification exercise was revealed in the report called Minutes of Presidential Goat Scheme: Goat numbers Verification exercise dated 21 August 2022, LPD/J/27/36 produced by consent as (Exhibit 9). The minutes read as follows: -

"Presidential Goats Verification Report prepared by the Ministry's Department of Livestock Production and Development following an exercise to ascertain the number and classes of goats at various holding centres following claims by Blackdeck (Pvt) Ltd that it had mobilised 32 500 goats including kids'. The report states that the exercise aimed at confirming the availability of goats which Blackdeck (Pvt) Ltd had said had been mobilised and were held at holding centres whose locations had been provided by the company in each province holding centres. The total number of goats to be verified was 32500 goats distributed as follows: -

a) Guruve District (Mashonaland Central Province) holding 800 mashona goats at Mudhindo Growth Point Goat
b) Muzarabani District (Mashonaland Central Province) holding 5500 goats at Muzarabani Goat holding centre
c) Zvimba District in Mashonaland West Province holding 6000 mashona goats at Colenso farm Goat Holding Centre
d) Chegutu District in Mashonaland West Province holding 2500 mashona goats at Saruwe farm Selous Goat Holding Centre
e) Makonde District in Mashonaland West Province holding 1500 mashona goats at Colenso farm Goat Holding Centre
f) Buhera District in Manicaland Province holding 2000 mashona goats at Birchenough Bridge Goat Holding Centre
g) Chipinge District in Manicaland Province holding 2000 mashona goats at Chipinge Goat Holding Centre
h) Bubi District in Matebeleland North holding 5000 ndebele goats at No 5 Dingani Farm Goat Holding Centre"

The Ministry had dispatched teams to the various centres where only 3 388 and 325 kids were found out of the 32500 goats which Blackdeck (Pvt) Ltd had claimed to have mobilised. In light of the advance payment which had been made to Blackdeck (Pvt) Ltd in sums equivalent to USD 7 712 197.00 and at the average price of USD 90 .00, the committee had expected to find 85 000 goats. There was shortfall of 28 612 goats (89.6 %).

The witness testified that in chasing up performance of the contract the Ministry dealt with the 1st and 2nd accused persons. The 1st accused was the operations manager and the 2nd accused would be present at all the meetings which the witness convened pertaining to the Presidential Goat Pass-on Scheme. The 2nd accused appeared to be the most senior because and assumed a leading role during the deliberations and appeared to the ultimate decision maker. The Government of Zimbabwe suffered actual prejudice in that it made an advance payment to Blackdeck Livestock and Poultry Farming but did not receive the corresponding number of goats.

Under cross examination on behalf of the 1st accused the witness said the Presidential Goat Pass-on Scheme was important to the Ministry which should have been undertaken with seriousness. The certificate of incorporation was like an identity card because it identified the company by name. He said the falsified ZIMRA and NASSA certificates produced in court had been plucked out of the bid submitted by Blackdeck Livestock and Poultry Farming. *Mr Dzvetero* took the witness through the certificate of incorporation, the Cr 14, letters and other documents to demonstrate that the bid had been supported by documents belonging to Blackdeck (Pvt) Ltd. The witness did not dispute that. The witness did not also dispute that Blackdeck Livestock and Poultry Farming was the trade name of Blackdeck (Pvt) Ltd. The witness confirmed that every bidder was required to submit 3 copies of its bid, one marked original and the other 2 marked copies. He agreed that, on the face of it, the bid appeared to meet the requirements for eligibility. He agreed that the bidder had used three names, namely Blackdeck (Pvt) Ltd, Blackdeck Livestock and Poultry Farming and Colenso Farm, which he believed referred to the same bidder which eventually signed the contract represented by the 1st accused person. In his evidence he kept referring to 'Blackdeck' as the name of the bidder. Under cross-examination, he maintained that price of each goat included setting up pens, security of the goats, the cost of transport and logistics, price of veterinary care before delivery of the goats to the Ministry. He said the natural persons in control of the bidder were not allowed to interact with Ministry officials before the award of the tender. Due process demanded that all bids were supposed to be determined on the papers. The people behind the bid would only be known after due process had taken place on the papers and the tender awarded. He said by due process he meant that there were various stages on the papers to ensure compliance with the Public Procurement and Disposal of Public Assets Act [Chapter 22:23That did not mean that the Ministry officials did a good

job. The witness was taken to task concerning remedies available to the Ministry in contract law. The line of questioning was irrelevant to criminal law.

The witness said negotiations resulted in an addendum signed on the 25th of April 2022, with revised and reduced prices. Once again, the 1st accused and Tinashe Chimombe, a brother of the 2nd accused, who had signed the original, signed the addendum.

The Ministry could not pay the 30% (thirty per cent) deposit due to cash constraints. There were negotiations whereupon the parties agreed on the figures paid on the understanding that the Ministry would pay the money at its disposal and Blackdeck would deliver goats of corresponding value in the meantime. The agreement was that the Ministry would pay the amount it paid, get delivery and then move to the next stage. In addition to that, the government opted for cheaper breeds. The deposit paid was to capacitate Blackdeck Livestock and Poultry Farming and trigger performance. The contract was for a period of five years to end in 2026. Pressed for delivery, Blackdeck misrepresented that it had 32500 goats. When it was put to him that the money paid by Blackdeck was to cover infrastructure and other costs like vaccination, feeding and dipping; and so it was not as simple as dividing the amount of money paid by UD$90 (ninety United States dollars), he reiterated that Blackdeck misrepresented that it had 32 500 goats whereas it had only 3335 goats. He conceded that at some point Blackdeck experienced problems with moving the goats across zones due to foot and mouth disease but the Ministry was willing to assist with the logistics.

Under cross-examination on behalf of the 2nd accused, the witness said he knew the 2nd accused, prior to interacting with him in connection with this case, as a political figure. He conceded that he had not seen the 2nd accused before the award of the tender. He said he had not expected to meet anyone because human interaction was not allowed before the award of the bid to allow due process on the papers. Face to face meetings could only be held after the award of the tender because there was not supposed to be any influence at all before the award. He said he had no reason to lie against the 2nd accused. He said the bid was on the face of it submitted by Blackdeck Livestock and Poultry Farming but inside there were documents submitted by Blackdeck (Pvt) Ltd. He had no evidence of any participation by the 2nd accused prior to the award of the tender. He said, subsequent to the award of the tender, the 2nd accused was among Blackdeck officials during the negotiations and at the launch of the scheme in Chipinge. He said the 2nd accused had participated in as far as he was among the Blackdeck officials during the negotiation of the contract terms and several meetings held with the technical teams and his attendance at the launch in Chipinge. He observed what he

described as the 2nd accused's ". ...physical connection with Blackdeck". The launches were open to the public but with respect to the 2nd accused there was his personal involvement which included participating in the negotiations with the Ministry. He said the second accused had participated in "mukufambira nyaya dzacho" which when translated means he was involved in follow ups after the award of the bid to Blackdeck. The 2nd accused participated physically and in spirit because there were plenty meetings. Pressed further under cross-examination he said the 2nd accused may have attended one meeting with him and the rest of the meetings attended by the 2nd accused were with the technical team. He maintained, however, that he remembered correctly that he had met the 2nd accused.

The witness gave his evidence well. He had no motive to falsely incriminate the accused persons. He had not even made a criminal complaint to the Police. The crime was unearthed by ZACC. He conceded where necessary. We concluded that he was a credible witness.

Isa Precious told the court that she is employed by the Ministry of Agriculture in the procurement unit. She handles tender bids submitted by persons responding to advertised tenders. She was the one who prepared the tender for publication as well as the Standard Bidding Template. She said Blackdeck was among the four bidders who competed. The full name of 'Blackdeck' was Blackdeck Livestock and Poultry Farming. Every bidder was required to submit three identical copies of the bid. She identified the bid submitted by Blackdeck Livestock and Poultry Farming. She identified the original 'third' copy of bid submitted by Blackdeck Livestock and Poultry Farming which she identified through the name Blackdeck Livestock and Poultry in bold capital letters on the face of the bid and the logo Written Blackdeck (Pvt) Ltd, in lower case, on the top let face of the bid and Procurement no MLAFWRR/HQ/CB/42/21. She said it showed the closing date as the 17th of February 2021 at 10.00hrs. We noted the features and that it was marked "Copy" in red ink. It had a sticker marked "LANDS" to show that it was the copy of the bid retained by the Ministry of Lands. At the top right corner, it was marked "3" in brackets to show that it was the third copy. She identified the letter on "Blackdeck (Pvt) Ltd t/a Colenso Farm" signed by Mr T Madembo which was inside the spiral bound bid, on the first page. She kept the third copy of the bid submitted by Blackdeck Livestock and Poultry Farming which she produced as Exhibit 14 and admitted into evidence as an official document in terms of s 276 of the Criminal Procedure and Evidence Act *[Chapter 9:07]*. She took the court through all the supporting documents which included the certificate of incorporation, CR14, CR6, the tax

clearance certificate, payment terms and the NSSA compliance certificate. She confirmed that she was the one who drafted the contract between Blackdeck and the Government of Zimbabwe. It was the bid at the centre of this trial. She knew the 2nd accused because she recalled that both accused attended meetings at the Ministry in connection with the bid.

Under cross-examination she stated that the bid had been submitted by 'P H Kabisira' who signed in the Ministry's book. Upon receipt, the bid was kept at the Ministry until retrieved during investigations in connection with this case. She agreed that the letter of submission, the certificate of incorporation, CR6, CR14 and the letter of Bank Guarantee, all, belonged to Blackdeck (Pvt) Ltd. She was of the view that the names Blackdeck (Pvt) Ltd, Blackdeck Livestock and Poultry Farming and Colenso Farm, all referred to the same entity. She conceded that she had no evidence of the 2nd accused person's involvement in the submission of the bid.

The witness gave evidence well. There was no suggestion that the Bid had been tempered with. The crux of her evidence was not disturbed which was that the bid that she produced in court was the actual third copy submitted by Blackdeck Livestock and Poultry Farming which the Ministry had retained while other copies were sent to other stakeholders. She believed that the lawful name of the bidder was Blackdeck Livestock and Poultry Farming. In our view that explains why, in drafting, the contract she made non-existent entity a party to the contract. She was a credible witness.

Chenayi Garise-Nheta testified that she is a lawyer by profession employed by the Ministry of Agriculture as a Deputy Director. She was the chairperson of the Evaluation Committee that adjudicated over the Presidential Goats Pass-on Scheme tender. She did not know the accused. Her committee became involved after the procurement department had given a preliminary report. Her committee checked the bids for compliance against the preliminary report. Her committee did not do any due diligence of its own, in relation to the documents that were supplied. It relied on the preliminary report I considering whether the bids met the mandatory requirements. It was also interested in the cheapest of the bids and the easiest payment terms. The committee did not do any due diligence to verify the supporting documents with the purported issuers before recommending Blackdeck Livestock and Poultry Farming for the tender. The committee did not verify the security features on the documents. The ZIMRA tax clearance and NSSA compliance certificate submitted with the bid appeared to be genuine at face value from the logos, and the names of the issuers and form. They looked, exactly, like those that are issued by ZIMRA and NSSA which they dealt

with regularly. As a lawyer, she formed the opinion that the bid had been submitted by Blackdeck (Pvt)Ltd. She was not bothered by the other names because she thought they all refereed to the same entity. She was unaware of s29 of the COBE which stated that only a registered assumed name could be lawfully used by a company in conducting business. In her opinion, the condemnation of the ZIMRA tax clearance and NSSA compliance certificates by ZIMRA and NSSA as counterfeits meant that the contract with Blackdeck Livestock and Poultry Farming was a nullity from the beginning. As at the time of giving evidence in the year 2025, Blackdeck (Pvt) Ltd or had not submitted valid ZIMRA tax clearance and NSSA compliance certificate to replace the counterfeits.

In cross examination Mr Dzvetero put it to the witness that the name Blackdeck Livestock and Poultry was used for its advantage that it identified with previous dealership. She could not answer the question. Both accused persons maintained, in cross-examination, that the counterfeit ZIMRA tax clearance and NSSA compliance certificate belonged to Blackdeck Livestock and Poultry Farming and not to them as individuals.

The witness gave her evidence well. She did not check the law which applied to companies. She did not pay attention to the red flags raised by the use, by Blackdeck, of different names and addresses. She conceded that she neglected to verify the ZIMRA and NSSA certificates despite that they, on their face, demanded to be verified. Due to the oversights, the Ministry dealt with Blackdeck Livestock and Poultry Faming which had no legal capacity to act. She did not seek to colour her evidence or find excuses for her below par, performance.

Alban Mhindurwa told the court that he is employed by the Ministry of Agriculture. At the material time he was the Director of Livestock Development. He was the one who had prepared the concept paper for the residential goat scheme which he presented to the Permanent Secretary for approval. He said when the tender for Presidential goat scheme was advertised the 1st accused visited his office enquiring about the tender and he directed him to the relevant department. The witness and the 1st accused exchanged telephone numbers. Later he heard that there were goats being bought. He enquired from the 1st accused who confirmed that he had won the tender. The witness congratulated the 1st accused following the award. On the 22nd of February 2022 the 1st accused requested to see the witness. They met whereupon the 1st accused informed him that he had already started the work of sourcing the goats. On the 2nd of March 2022 the two accused persons came to his office. He told them that notwithstanding their mobilisation of the goats, the distribution was

only going to start after the launch by the President. On the 2nd of March 2022 both accused persons visited the witness at his office. He told them that he was working on a roadmap for distribution. Thereafter the two accused would update the Ministry of Agriculture on the progress of mobilization of the goats. He later received communication from Gift Matiza in a letter addressed to CD Jiri (Chief Director in the Ministry) that Blackdeck had mobilized 32 500 goats. Gift Matiza later came to the witness' office whereupon the witness told Gift Matiza that the ratio was supposed to be one buck (male goat) to 20 does.

When he received the letter in July which was copied to him advising that about 32500 goats had been mobilised, the Permanent Secretary, Jon Bhasera, asked him to carry out a verification exercise. He requested the provincial directors to release livestock personnel to do the verification at the alleged holding sites whereupon he invited the 1st accused to his office through a telephone call in connection with the intended verification exercise. The 1st accused arrived with the 2nd accused for that meeting and both attended. Minutes were taken of the meeting held in his office in his capacity as the Director Livestock Development. He produced the Minutes of the meeting as exhibit 15 by consent.

At the meeting, the accused persons said the verification exercise was going to present problems because the goats were scattered. The witness insisted that the exercise had to be done since that was the instruction from the Permanent Secretary. The accused persons left saying they were going to see the Permanent Secretary and thereafter return to him.

On the 15th September 2022 he received a copy of a letter addressed to the Permanent Secretary highlighting complexities of the intended verification exercise. After the launch in Chipinge he had kept in touch with the 1st accused. On the 10th October 2022 he wrote to the 1st accused pointing out that the pace was too slow and they had to increase the goats in Masvingo and Manicaland because complaints had been received from that area.

The witness wrote another letter to Blackdeck on the 15th November 2022 highlighting that the required goats had to be delivered at the end of the year.

He identified the minutes of the pre departure meeting for the verification exercise.

On the face of the minutes the following appear

"PRESIDENTIAL GOAT SCHEME: GOAT VERIFICATION EXERCISE
Pre- departure meeting with Blackdeck (Pvt) Ltd company
Venue: Director Mr Mhindurwa's Office

In attendance:

1. Mr Mhindurwa (Director LPD)
2. Mr Chimunorwa (Deputy Director LPD)
3. Mr J Taderera Livestock Specialist (Minuting)
4. Mr M Mpofu (Blackdeck)Mr M Chimombe (Blackdeck)

Welcome remarks
Mr Mhindurwa introduced the LPD members present and highlighted that Mr J Taderera was the Officer assigned to accompany the Blackdeck personnel for the verification of goats at the goat holding sites as indicated by the company.

This was as per instruction given by the Secretary for Lands, Agriculture, Fisheries, Water and Rural Development Dr J Basera. The Contract was to lead a team from the Ministry to inspect and verify the number and condition of goats at holding sites that were highlighted by the Contract (Blackdeck (Pvt)Ltd) in their correspondence to the Department.

Blackdeck (Pvt)(Ltd) Position
In response, Mr Mpofu said that the initial verification report produced by the Department 3,388 was incorrect as they had more than this on the ground. He pointed out that the goats were not at a central pen but were scattered in the communities. He said there might be 50 to 100 farmers in a community who might he holding their stock. This would then take a lot of time to do the verification he said.

There would also be a huge cost implication to them.

He also informed the meeting that they wanted to see the Secretary for Agriculture, Fisheries, Water and Rural Development soon after the meeting to inform him of the complexities of verification among other things.

DLPD Response
The Director responded that the report was produced by ARDAS staff on the ground who verified the information based on the information the Contractor had given them of holding sites and contact persons there. The ARDAS personnel worked with their contact person when they did the verification that led to the production of the report the company was disputing. The communication to the Department stated goat holding sites and contact persons to show the ARDAS officers goats at the sites. The contact persons did not inform the officers that goats were not in holding sites when they made visits.

Blackdeck (Pvt)(Ltd) Response
The company representatives agreed that it was an error on the part of the company on holding sites as most of the goats they had purchased were at individual farmers' places.

The company also requested the Department to avail the distribution schedule for the goats to which the director responded that will have it as soon as possible since they were still working on an updated schedule to effect changes recommended by the Minister.
Way forward
The company representatives said that the verification would have to go ahead but they would have to visit the PS first (after the meeting) then contact the director to update him on the meeting.
They also said they would contact Mr Taderera the assigned officer to make arrangements for the visits.

The meeting ended at 11.45."

The minutes were produced by consent as Exhibit 15.

In December 2022, following numerous requests by stakeholders in connection with intended provincial launches, the witness telephoned the 1st accused in connection with the

delivery and supply of goats. In response, the 1st accused advised him that they had suspended the supply of goats for the project. The witness advised his principal of that development.

In December 2022 he produced a goat performance report which he circulated to his principals whom he named as CD Jiri, Dr Makonye, Mr Chuma and the Permanent Secretary. At that stage Blackdeck Livestock and Poultry Farming had supplied 4 208 goats valued at USD331 445 using the addendum contract price giving an outstanding balance of USD7.38 million in terms of goats to be supplied. On the 29th of January 2023 the witness invited the 1st accused for a re-engagement meeting which subsequently took place on the 7th of February 2023. At the meeting Blackdeck was represented by the 1st and 2nd accused who were accompanied by their lawyer Mr Tapson Dzvetero.

He wrote other follow up letters to Blackdeck in January and February 2023 until he was then transferred before more goats were delivered. A meeting was later held in February 2023 where he was invited and attended. The meeting was chaired by Mr Chuma and present were Dr Makoni, Mr Mudazamiri, CD Jiri, members of the Livestock team, and both accused persons were present representing Blackdeck.

No agreement was reached. He could not say whether the 32500 goas were eventually, delivered.

Under cross examination on behalf of the 1st accused, the witness said the 1st accused visited him at his office several times. When it was put to him that the 32500 goats had been mobilised but had not been paid for, he said payments were done by another department. When it was put to him that while payment was made in Zimbabwe dollars, farmers were refusing to accept the Zimbabwe dollar, he said he was not privy to those details. Mr Dzvetero put it to him that the money paid by the Ministry was converted to United States dollars at the prevailing rate, he said he could not comment. When it was put to him that Blackdeck traded the money on the black market because the United States dollar could not be sourced from the formal market, he said that was supposed to be channelled to the appropriate department.

Under cross-examination on behalf of the 2nd accused he said he was linking the 2nd accused with this case through the meetings the 2nd accused attended on the 2nd March 2022, 13th September 2022 and 2nd February 2023 which he recalled as the minimum. He conceded that he had produced the minutes of one meeting only and had not produced minutes of the meetings on the 2nd March 2022 and 2nd February 2023. He was however steadfast that such

meetings had been held and attended by the 2nd accused. The 2nd accused's counsel put it to the witness that the 2nd accused attended the meeting on the 13th September 2022 but he had never seen the minutes, the witness did not comment.

The witness gave his evidence well and we found him credible. His evidence that the 2nd accused attended a meeting at his office representing Blackdeck was confirmed by documentary evidence. His evidence was to the general effect that the 2nd accused attended several of the meeting the witness held with Blackdeck and he conducted himself as part of the Blackdeck delegation.

Obert Jiri testified that he was involved in the price negotiation with Blackdeck where he interacted with both accused persons. Initially the meetings were held to discuss the prices and Blackdeck was represented, at the negotiations, by three gentlemen who included the two accused. Whenever he referred to the two accused persons he would mention their names. The witness was accompanied by other officials from the Ministry at the meetings. He later received instructions from the Ministry that the prices were too high. He held other negotiations were both accused persons assumed leading roles they agreed to reduce the prices. There were other meetings held between Blackdeck and other responsible directors. He did not know the capacity in which the two accused persons attended the meetings but whenever he called for a meeting with Blackdeck, the two accused persons would come. At some point Blackdeck said it had 32500 goats but a verification exercise disproved that. At that stage he was no longer in direct communication with the accused persons because he had assigned the responsible director to deal with Blackdeck matters.

When the launch was done and distribution was supposed to take place throughout the country it was realised there were less and less goats coming. At some stage they got 500 goats. Around June 2023 the Ministry realised that Blackdeck lacked the capacity to supply the goats. The Ministry then initiated the process to cancel the agreement, but, still, the Ministry directed Blackdeck to continue with its supply of goats because the Ministry really needed the goats. Officials at the Ministry were becoming increasingly frustrated because the contract was no longer worth it.

The witness was subjected to lengthy cross-examination by Mr Dzvetero for the 1st accused. He reiterated that the Ministry was meeting with both accused persons whom he mentioned their names again. He agreed that money paid by the Ministry was required for construction of holding pens, veterinary medicines and transportation. He conceded that the required deposit of 30 per cent was not paid in full. About 10 per cent was paid. He however

said as soon as payment was made the Ministry was supposed to receive goats for the money paid. The Ministry held meetings with Blackdeck to manage the performance and procurement of goats and to know what each other were doing. While Blackdeck said they had the goats at holding pens, some of the farms could not be located.

Under cross-examination on behalf of the 2nd accused he maintained that the 2nd accused attended the meetings and was also at the launch. He said both accused persons would be there when goats were being distributed. He thought there were minutes confirming the meetings but most of the meetings were mutual. When it was put to him that the 2nd accused denied attending meetings with him, he said he could not remember because, initially, he was new, but the 2nd accused and he, later became acquainted with each other.

The witness gave his evidence well. He did not exaggerate his evidence. He was, *prima face,* a credible witness. He had meetings with the 2nd accused to the extent that they became acquainted with each other. He observed the association of the 2nd accused with Blackdeck at the launch and the distribution of the goats. The meeting which he said took place at his office in the company of other Ministry officials, where the 2nd accused attended, was confirmed by Alban Mhindurwa. His evidence that he referred the accused persons to the responsible director was also confirmed by Aban Mhindurwa.

Sipiwe Mphadzula's evidence was formally admitted in terms of section 314 of the Criminal Procedure and Evidence Act, [Chapter 9:07]. She is employed by CABS as the operations officer. The bank statements in respect of Blackdeck Pvt Ltd account number 1006126120 for the period April 2022 to January 2023 and Millytake Enterprises account number 1129742431 for the period April –December 2022 are correct records for the accounts as transacted by the account holders. Blackdeck Pvt Ltd CABS bank account number 1006126120 statement for the period April 2022- January 2023.and Millytake Enterprises CABS bank account number 1129742431 statement for the period April-December 2022 were produced by consent as exhibits. They confirmed the quick disbursements of all the funds paid by the Ministry and none was disbursed with the narration that it was paying for goats. Some huge amounts were disbursed at the behest of one Mpofu, to the company's legal practitioner and to the directors of the company Moses Mpofu and Hazvinei Kabisira. Millytake Investments received 200 million USD. The bank statements were produced as part of exhibit 16.

The State the closed its case after leading the evidence above.

The defence cases

The 1st accused

The first accused adopted his defence outline. He said he was a farmer by and large. There was never a time in his life when he personally submitted a bid for any tender. The bid produced in court as exhibit 14 was submitted by Blackdeck (Pvt) Ltd, trading as Blackdeck Livestock and Poultry Farming and also trading as Colenso Farm following a decision reached by directors at a meeting of directors where he was present. It was not his bid. He was just one of the directors of the company [registered on the 12th of February 2015] and 10 % shareholder. The remaining 90% shares were held by his co-director and chairperson of the company's board, one, Hazvineyi Kabisira. Hazvineyi Kabisira who was also the person in charge of administration and finance at the company.

His co-function at the company was the implementation of projects. Blackdeck Livestock and Poultry Farming was the company's trade name which was the first to be adopted. Colenso Farm was adopted as a trade name in 2019 when the company acquired the farm and the farm became the company's principal place of business. The trade names were not registered because he was not aware of the requirement.

Someone at the company drew his attention to the tender after it had been advertised. He considered it an opportunity whereupon the board resolution was made. Subsequent to that the department responsible for tendering and compliance manned by Hazvinei Kabisira, Tichaona Chidembo and Chikura paid the necessary fee and started compiling the required documents. He had only seen the bid for the first time in court.

The submission of the bid in the name of Blackdeck Livestock and Poultry Farming, was deliberate but the bid clearly belonged to Blackdeck (Pvt) Ltd. He gave his reasons for saying the bid belonged to Blackdeck (Pvt) Ltd. Firstly the tender was specific that it was for companies only and not individuals. Secondly, the bid bore the logo of Blackdeck (Pvt)Ltd at the top left corner and the landline which appeared on the face of the bid belonged to the company. He took the court through the correspondences in the bid, the Certificate of incorporation, the CR14, the Cr6, bid submission sheet, bid declaration and letter of guarantee and other documents which he said, all, bore the name of Blackdeck (Pvt) Ltd. He had not personally played any role in the procurement of the company's NSSA compliance and ZIMRA Tax certificates which were required to be submitted with the company's bid. That had been done through the compliance department composed of Vusumuzi Mpofu and Evans Chikwati who reported to the director of Finance and administration, Hazvinei Kabisira. The company decided to outsource the procurement of the certificates. He later

learnt that the certificates had been procured by an agent known as Kundai Bwanya believed to have been an employee of ZIMRA. He took the court through all the documents which constituted the spiral bound bid and explained the significance of ach of the documents.

Blackdeck (Pvt) Ltd received a notification that it had won the tender on the 3rd of November 2021.On the 5th of November 2021 the board appointed him as the person to engage the Ministry in respect of the terms and conditions of the tender that had just been won. He produced the company resolution as exhibit 17. There were negotiations between Blackdeck and the Ministry of Agriculture on the payment and delivery terms which he participated in with the officials responsible for operations at the company namely Tinashe Chimombe and Gift Matiza. They had negotiations with Precious Isa, Dr Makoni and other officials whose names he could not remember. The Ministry explained that the tender was no longer going to be a once off thing but was to be spread over 5 years. That is from 2021 to 2026. The company needed 70% of the tender amount which was USD87757 000.00 as a deposit. 40% was going to go towards infrastructure in all provinces, buying the goats, vaccination, buying or hiring motor vehicles, goat feed and to pay employees throughout the country. Each goat was valued at USD$100 or the equivalent in Zimbabwe dollars. Although goats prices ranged between USD30 to USD40 the price was appropriate because of the costs already alluded to. The company also needed to pay its agents. The Ministry declined to pay the 75, insisting on 30% which was later agreed on. A guarantee was necessary as security against non-delivery. The company later provided the guarantee whereupon the company was invited to sign the contract.

The contract was drafted at the Ministry. He signed on behalf of the company and Tinashe Chimombe signed as a witness. The Contract was between the Republic of Zimbabwe and Blackdeck Livestock and Poultry Farming. The 1st accused acknowledged that a goat price was USD40 each but they needed to be vaccinated, fed and transported. The price of each goat under the contract was therefore goat was USD100. The Ministry of Agriculture failed to pay 70% advance payment as requested and the parties agreed on 30% advance payment. Blackdeck Pvt Ltd later received a total of RTGS1.6 billion in two tranches that was equivalent to over USD7.7 million. The balance was to be paid later. The 1st accused said that there was no formula on how the money was supposed to be used. Blackdeck Pvt Ltd chose to put up infrastructure and buy vaccines.

Blackdeck (Pvt) Ltd appointed three agents, namely Ceder Farming, Nomistal Enterprises and Millytake Enterprises. The three companies were paid various amounts to

buy goats. The bank accounts of Blackdeck (Pvt) Ltd were, soon after the disbursement of funds to agents frozen by the Reserve Bank Financial Intelligence Unit, because the companies had sourced money on the black-market. The companies admitted doing that because farmers were not taking local currency. The accounts were frozen for thirty days and in the meantime foreign exchange rates were going up. At the time the accounts were frozen the equivalent in United States dollars of the money paid by the Ministry had reached to US$3 million. At the time the accounts were unfrozen it had gone down to US$2 million. The company engaged the Ministry which complained that the prices were too high. The contract price was reduced by 25 %. The company agreed on condition that the money was going to be paid in USD into the company's Nostro account. Although this was not reduced to writing but the Ministry officials undertook verbally to engage treasury. The negotiations culminated in an addendum which he and Tinashe Chimombe signed. He said the second Accused was not in the picture in the negotiations that took place with the Ministry. The company did not misrepresent that it had 32500 goats as alleged by the State. A meeting was called for which he attended with the 2nd accused. Gift Matiza had written to the Ministry that 32500 goats had been mobilised. The goats had been gathered by the company's agents at a collection point and what remained was payment and transportation. Only after payment were the goats going to be collected and taken to a holding centre. He said he was not disputing the exercise and the report that came out but the problem was that the Ministry officials did not manage to visit all areas and in some cases could not locate the places. The company had, delivered about 6000 goats to date. He commented on the evidence of all the witnesses called by the State. Regarding Fungai kapfunde from ZIMRA, he said he was not sure that the tax certificate which that state witness scrutinised had been part of the bid. He agreed with Beven Mutsikamahwe that Blackdeck livestock and Poultry was not registered as the company's trade name. He agreed with John Bhasera. He agreed with Chenai Garise, Obert Jiri, and Precious Isa. He said the company was not aware that the certificates were counterfeit.

With regards to Alban Mhindurwa, he said the state witness spoke like a radio and purported to know him yet the 1st accused did not know him. He denied meeting Alban Mhidurwa before the award of the tender. He only met him later. He admitted meeting Alban Mhindurwa three times after the award of the tender. The first occasion was the meeting held between Blackdeck (Pvt) Ltd and the Ministry for the implementation of the tender awarded to the company. The second meeting was at the launch. The third meeting was, again, a

meeting between the company and the Ministry which was attended by Mr *Dzvetero,* as the company legal advisor. He did not dispute the contents of all the exhibits produced by the state when taken through all of them one by one. He said the third hand that he referred to as the person behind his prosecution was anonymous.

Under cross-examination he conceded that he had sired 3 children with his co-director, Hazvinei Kabisira. He said Tinashe Chimombe was a director of Blackdeck (Pvt) Ltd despite that he did not appear on the company's CR14. He said Tinashe Chimombe is a brother of the 2nd accused. He was steadfast that Blackdeck (Pvt) Ltd had paid all dues to ZIMRA and NSSA because he had seen the payments although he was not sure when the last payments had been done. He knew because, at board meetings, he directors would report on the affairs falling under the purview, so the payments were reported. Thereafter, he refused to answer questions pertaining to the affairs of Blackdeck (Pvt) Ltd because he said he had been charged in his personal capacity for having used a fictitious company. He said he had prepared for the trial as Moses Mpofu and his company was not charged. He declined to comment on the assertion by the State that Blackdeck(Pvt) Ltd had been deregistered by NSSA in 2026 because he was appearing in court as Moses Mpofu and not a representative of Blackdeck (Pvt)Ltd. He said it was up to the Finance department to say why the company outsourced the procurement of the NSSA and ZIMRA certificates. When asked about disbursements of funds received from the Ministry for the benefit of directors and employees of the company he said that was all part of buying foreign currency on the black-market because the company passed a resolution to source foreign currency on the black-market. He conceded that all the money paid by the Ministry was quickly wiped out of the bank accounts and all used to buy foreign currency. He could not say how much was raised and how it had been used. He accepted that the foreign currency raised on the black-market was not banked as required by then Promotion of Bank Use Act [*Chapter* 24:24]. He confirmed a huge amount paid to *Dzvetero* Legal Practitioners from the money as fees. He said the money paid to the agents was used by them to set up structures, pay their employees and to buy chemicals. He refused to be drawn to say whether the companies delivered goats because that was an issue concerning Blackdeck (Pvt) Ltd and not him as an individual.

He said he took the 2nd accused with him to the meeting with Ministry officials because he was his friend, a friend of the company and member of the Economic Empowerment Group. Blackdeck (Pvt) Ltd had invited the 2nd accused to the meeting with

the Ministry. He said the 2nd accused had been authorised by the company to attend the meeting to assist in resolving the dispute between the company and the Ministry.

Under cross-examination by the 2nd accused's counsel, he said the 2nd accused had nothing to do with the tender. He said at the meeting the 2nd accused produced his business card and said he was from the Economic Empowerment Group and that Blackdeck was an affiliate. He said apart from introducing himself, the 2nd accused did not say anything else. He said the board resolved to appoint the 2nd accused as a member of the EEG to attend the meeting at the Ministry and not in his personal capacity. EEG lobbies for local companies to receive preference in the award of local tenders. The 2nd accused attended only one meeting. He said although the 2nd accused attended the launches he did not associate himself with Blackdeck (Pvt) Ltd as alleged by the state witnesses.

He maintained that the company could properly use the trade name Blackdeck Livestock and Poultry Farming despite that the assumed name was not registered in terms of section 29 of the Companies and Other Business Entities Act. No one was deceived because the Ministry officials knew that Blackdeck Livestock and Poultry Farming was a trade name for Blackdeck (Pvt) Ltd.

The 1st accused then closed his case without calling all the witnesses he had listed as his defence witnesses. His explanation was that he had realised that were not necessary since he had been charged in his personal capacity and not as a representative of Blackdeck (Pvt)Ltd which had participated in the Presidential Goats pass- on Scheme. The consultant who had procured that ZIMRA clearance and NSSA compliance certificates had died before he could give evidence. He, however, did not produce evidence of the witness' death. Somehow, he did not know the name of the entity that the consultant was employed. The 1st accused refused to answer questions with regards to the counterfeit NSSA compliance and ZIMRA clearance certificate saying he had no authority to speak on behalf of the company. He refused to answer questions with anything to do with Blackdeck Pvt Ltd. He said it was the board's decision not to bank the foreign currency that was purchased from the black market.

The 2nd accused testified as follows:

He said he is a politician and central committee member of the ZANU PF political party as well as the chairperson of its fund-raising committee for Mashonaland West. He is the founding president of the Economic Empowerment Group [EEG], a pressure group that, among other things, lobbies for the preference of indigenous businesses in awarding

government contracts. He is a businessman and a director of Millytake Enterprises (Pvt) Ltd, a company incorporated in terms of the laws of Zimbabwe. The company submitted a bid in the Presidential Goat Pass-on scheme but was disqualified. He said he ceased to be a member of Millytake in early 2021 when he started campaigning for elections. He said he had no relationship with Blackdeck (Pvt) Ltd, whatsoever and had not participated in the preparation of the in the submission of the bid by Blackdeck Pvt Ltd. He denied meeting Alban Mhindurwa before Blackdeck signed the goats contract with the Government of Zimbabwe. His only involvement with the Ministry in connection with its dealings with Blackdeck (Pvt) Ltd was when he accompanied the 1st accused to a meeting with Alban Mhindurwa. He attended the meeting in his capacity as the president of EEG at the invitation of the 1st accused for the purpose of resolving a misunderstanding between the Ministry and Blackdeck (Pvt) Ltd. As it turned out that there was no misunderstanding. Consequently, he did not have to say anything at the meeting. Millytake was subsequently engaged by Blackdeck (Pvt) Ltd as an agent whereupon it was paid money for the procurement of goats. It performed its contractual obligations. It is still owed outstanding payments by Blackdeck (Pvt) Ltd.

Under cross-examination he said that the 1st accused was a very close friend of his and they had done business together. Asked whether they documented their business transactions, with the 1st accused, the 2nd accused said, no, they did not. They would just do business. He said he left Millytake in March 2021, which meant that by September 2021 he had already resigned from Millytake but he didn't know whether his name had already been removed from the list of directors. Asked whether at the commencement of the goat tender process he had nothing to do with Millytake, he said he was still involved because he had been consulted during the relevant period. When paragraph 11 of his defence outline was brought to his attention where he said he was still a director of Millytake at the relevant period he conceded that, indeed, he was still a director of Millytake when the goat tender was advertised and Millytake submitted its bid. The 2nd accused said Millytake had a written agreement with Blackdeck (Pvt) Ltd over the issue of goats but he was not going to produce it and had no obligation to do so because he had been charged in his personal capacity. He said he had no obligation to produce any documents regarding Millytake and its affairs.

He agreed that Millytake received RTGS 200 million from Blackdeck which was part of the money paid by the Ministry for the procurement of goats. He said the money was traded on the black market to buy foreign currency and the company was fined for the illegal activity. He conceded that the foreign currency was not deposited into the banking system.

The law to be applied

We noticed that in written submissions, both the State and the defence preferred the common law as the main source of the law to be applied. That approach is not correct. The general principles of the criminal law applicable in Zimbabwe are now to be found in the Criminal Law Codification and Reform Act *[Chapter 9:23]* (The Criminal Code) which was promulgate in 2005 and came into force on 1 July 2006. The purpose of the codification is explained in the preamble to the Criminal Law Code. The Legislature found it to codify and, where necessary, reform the common criminal law of Zimbabwe in conformity with the fundamental principles set out in the Constitution and other fundamental principles developed over time by our criminal justice system in order to set out in a concise and accessible form what conduct our criminal justice system forbids and punishes and what defences can be raised to criminal charges. Section 3 of the Criminal Code states that the non-statutory Roman-Dutch criminal law in force in the Colony of the Cape of Good Hope on the 10th June, 1891, as subsequently modified in Zimbabwe, shall no longer apply within Zimbabwe to the extent that this Code expressly or impliedly enacts, re-enacts, amends, modifies or repeals that law. It is therefore, not always necessary to refer to case law prior to codification and care must be taken in citing cases that were decided before the codification of the criminal law. Decided cases are very helpful in giving a historical perspective to the codified principles of criminal law. The Criminal Law Code states, in section 4 thereof that the repeal of the common law shall not prevent a court, when interpreting any provision of this Code, from obtaining guidance from judicial decisions and legal writings on relevant aspects of the criminal law referred to in subsection or the criminal law that is or was in force in any country other than Zimbabwe. See *Madzokere & Ors v S* SC71/21 at pages 2 and 3 of the cyclostyled judgment.

> "The purpose of the codification was partly to bring together under one statute the main aspects of the criminal law that were hitherto fragmented and partly, to reform and improve on the criminal law. This explains the lengthy and double- barrelled title of the Code. The Code therefore not only systematically arranged the existing material on criminal law conveniently under one legislation but also amended and modified the law.
> Whilst the codification of the law brought with it convenience, the reform had wide-reaching ramifications. These ranged from the cosmetic, such as changing the nomenclature for some common law crimes, to the radical and fundamental. It changed the source of criminal law and supplanted itself and other statutes as the predominant source of the criminal law in the jurisdiction."

Sections 9, 10 and 11 of the Criminal Law Code provide as follows.

> CRIMINAL CONDUCT
> **9 Liability for criminal conduct**

A person shall not be guilty of or liable to be punished for a crime unless−
(*a*) the crime is defined by this Code or any other enactment; and
(*b*) the person committed the crime or was a party to its commission as provided in this Code or in the enactment concerned; and
(c) his or her liability is based upon voluntary conduct; and
(*d*) subject to subsection (5) of section *seventeen*, the person engaged in the conduct constituting the crime with any of the blameworthy states of mind referred to in sections *thirteen* to *sixteen*, as this Code or any other enactment may require; and
(*e*) his or her liability is based upon unlawful conduct, that is, upon conduct for which there is no lawful excuse affording that person a complete defence to the criminal charge, whether in terms of Chapter XIV or otherwise.

10 Criminal conduct may consist of acts or omissions
(1) Criminal conduct may consist of either an act or an omission.
(2) ……

11 Causation
(1) A person shall not be held criminally liable for a consequence unless the person's conduct caused or substantially contributed to its occurrence.
(2) ……..

The principles of criminal law governing the criminal liability of companies and their members, employees and agents are set out in s277 of the Criminal Law Code. A "director" is as a person who controls or governs that corporate body, whether lawfully or otherwise or a member of a body or group of persons which controls or governs that corporate body, whether lawfully or otherwise. With regards to the *actus reus*/criminal conduct, where there has been any conduct which constitutes a crime for which a corporate body is or was liable to prosecution, that conduct shall be deemed to have been the conduct of every person who at the time was a director or employee of the corporate body. (See s277 (3) of the Criminal Law Code). With regards to the requisite mental element, if the conduct was accompanied by any intention on the part of the person responsible for it, that intention shall be deemed to have been the intention of every other person who at the time was a director or employee of the corporate body. A director may only escape criminal liability if he or she proves on a balance of probabilities that he or she took no part in the conduct. See the proviso to s277 (3) for this defence and s18 of the Criminal Law code for the onus and burden of proof. In terms of s 277 (5) a director who is criminally liable for any conduct in terms of subsection 277 (3) shall be liable to be prosecuted and punished personally for the crime concerned.

The nature of the crime charged.

In terms of s136 of the Criminal law Code, any person who makes a misrepresentation intending to deceive another person or realising that there is a real risk or possibility of deceiving another person and intending to cause another person to act upon the

misrepresentation to his or her prejudice, or realising that there is a real risk or possibility that another person may act upon the misrepresentation to his or her prejudice shall be guilty of fraud if the misrepresentation causes actual prejudice to another person or is potentially prejudicial to another person.

Misrepresentation is defined in s135 of the Criminal Law Code. The definition includes the following: -

> "….. any act or omission of any kind whatsoever which wrongly or incorrectly represents any fact, law, character, circumstance, opinion or other thing whatsoever and, without limiting this definition in any way, includes–
> (a)a false statement of fact or law or a false expression of opinion;
> (*b*)……;
> (*c*)a promise to do something in the future, when made by a person who knows that he or she will not be able to do that thing or who realises that there is a real risk or possibility that he or she may not be able to do it;
> (*d*)……;
> (*e*)……;
> (*f*)the use, publication or uttering of a document which contains a false statement, knowing that the document contains a false statement or realising that there is a real risk or possibility that it does so."

Prejudice is defined in the following terms;

> "potentially prejudicial" means involving a risk, which is not too fanciful or remote, of causing prejudice;
> "prejudice" means injury, harm, detriment or damage of any kind whatsoever, including material or financial prejudice, prejudice to reputation and prejudice to good administration;

Analysis and findings

We must start with our findings with regards to the legal status of Blackdeck Livestock and Poultry Farming.

The State alleged that at the relevant time Blackdeck Livestock and Poultry Farming was a project by the perpetrators of a fraud masquerading as a company and as such it was not eligible to submit a bid.

The allegation was strenuously disputed by the 1st accused person who, throughout the trial, maintained that Blackdeck Livestock & Poultry Farming was, contrary to the State's assertion, a body corporate, eligible to submit a bid. He averred that Blackdeck Livestock & Poultry Farming is the trade name of Blackdeck (Pvt) Ltd, a company duly registered in Zimbabwe and recognised as a body corporate in terms of the law which regulates companies in Zimbabwe, the COBE. Counsel for the 1st accused submitted that it was lawful for Blackdeck (Pvt) Ltd to submit its bid using the trade name because the COBE did not and could not apply retrospectively to prohibit the use of trade names assumed before its

promulgation. Mr *Dzvetero* also argued that, even accepting that the use of an unregistered assumed name was prohibited by the COBE, contravention of that prohibition would not constitute fraud but, at worst, the crime created by statute for a contravention of that prohibition. We were not persuaded by Mr *Dzvetero*'s assertion that the name Blackdeck Livestock & Poultry Farming could lawfully be used by Blackdeck (Pvt) Ltd.

A company is defined in s2 of the Companies and Other Business Entities Act *[Chapter 24:31]* (hereinafter the COBE) as 'a company incorporated under this Act or a repealed law' or 'a foreign company, to the extent that the provisions of this Act apply to such companies'. In terms of s19 of the COBE a company is incorporated from the date of issue by the Registrar of its certificate of incorporation and whereupon the company becomes a body corporate, with the capacity and powers of a natural person of full legal capacity. In terms of s 18 (7) of the COBE, the certificate of incorporation or a copy thereof issued in terms of subsection (6)(c) shall be conclusive evidence that all the requirements of the COBE in respect of registration and of matters precedent and incidental thereto have been complied with and that the company is duly incorporated under this Act. A company is, therefore, known by the name which appears on the certificate of incorporation. Blackdeck Livestock & Poultry Farming was not incorporated in terms of s19 of the COBE.

Indeed, a company may assume a name other than its registered name for use in conducting business in Zimbabwe in terms of s29 (1) of the COBE. However, before using the assumed name, the company shall file with the Registrar a notice that it will be conducting business under the name. Blackdeck Livestock and Poultry Farming is not registered in terms of s29 of the COBE as the trade name of by Blackdeck (Pvt) Ltd. Blackdeck (Pvt) Ltd may have assumed or used Blackdeck Livestock and Poultry Farming as its trade name prior to the COBE. There was no law which required companies to announce the assumption of trade names and register them. There was no law against the use of trade names even whether formally assumed or not. The law now requires both the assumption of names and/or the use of trade names to be done formally in terms of a statutory framework. Section 29(1) of the COBE regulates all that now. As soon as the law was promulgated it prohibited the use of unregistered trade names moving forward. The prohibition does not purport to affect the use of trade names prior to its promulgation. A company which was already using a trade name could only continue to use the trade name after registering it in terms of s29 of the COBE otherwise the prohibition would be rendered irrelevant and easily circumvented by companies in existence prior to the taking effect of the COBE and rendering

the prohibition nugatory. A company is defined in s2 of the Companies and Other Business Entities Act *[Chapter 24:31]* (hereinafter the COBE) as 'a company incorporated under this Act or a repealed law. The COBE therefore apply to companies registered prior to its promulgation.

The argument that it was obvious that Blackdeck Livestock and Poultry Farming referred to Blackdeck (Pvt) Ltd because Blackdeck (Pvt) Ltd is the owner of the certificate of incorporation, CR14 and CR6 submitted with the bid, is fallacious. This is just a case of stolen identity as argued by the State, although not in so many words. Legal documents belonging to Blackdeck (Pvt) Ltd were fraudulently used by the perpetrators of this crime to give Blackdeck Livestock and Poultry Farming a veneer of legal personality. One wonders why it is not being argued that Blackdeck Livestock and Poultry Farming referred to Skywalk Investments (Pvt) Ltd. Legal documents were altered and also used by the perpetrators of this crime to give the false impression that Blackdeck Livestock and Poultry Farming was a tax compliant company.

The perpetrators of this fraud simply accessed the legal documents belonging to Blackdeck (Pvt) Ltd and submitted them with the bid as a way of stealing the identity of the company and then used the stolen identity to commit crime. State witness John Bhasera was correct in opining that the certificate of incorporation in the national identity card of a company, equivalent to the identity card of a natural person. Like a wolf in sheep's skin, the perpetrators of this crime, submitted the contentious bid for the tender through a non-existent company fraudulently clothed it with the corporate identity of Blackdeck (Pvt) Ltd in order to escape disqualification. They then used the fictional company clothed with the stolen corporate identity of Blackdeck (Pvt) Ltd as a Trojan horse in executing their criminal plot. They knocked at doors at the Ministry and when doors were opened they galloped into the offices inside their Trojan horse which was Blackdeck (Pvt) Ltd. They would disembark the Trojan horse to sit at tables still wearing bibs of the stolen corporate identity of Blackdeck (Pvt) Ltd to negotiate the terms and conditions of performance of the tender, to sign the contract and to receive money ostensibly on behalf of their Trojan horse. In so doing they created the wrong impression that Blackdeck Livestock and Poultry Farming is Blackdeck (Pvt) Ltd and Blackdeck (Pvt) Ltd is Blackdeck Livestock and Poultry Farming. The confusion that arose is exactly what they wanted to achieve and did achieve. The perception created unfortunately still resides in the minds of the Ministry officials who gave evidence in court and counsel who still argue that Blackdeck Livestock and Poultry Farming is Blackdeck

(Pvt) Ltd and Blackdeck (Pvt) Ltd is Blackdeck Livestock and Poultry Farming. The deception was so convincing that the fictitious company escaped disqualification. Precious Isa (an official of the ministry), even drafted a contract wherein she made the fictitious company a party and supplier of goats.

Eligibility to bid for the tender was governed by 'Eligibility and Qualification Criteria' set out in the 'Standard Bidding Document' produced in this court as exhibit 7.

> "Bidders are required to meet the criteria in section 28 of the Act to be able to participate in public procurement and to be qualified for the proposed contract. They must therefore provide any available documentation and certify their eligibility in the Bid Submission Sheet.
> To be eligible the Bidders must: -
> 1. have legal capacity to act;
> 2. ….. …
> 3. have fulfilled their obligation to pay taxes and social security contributions in Zimbabwe;
> 4. not have conflict of interest in relation to the procurement….
> 5. not to be debarred from participating in public procurement…
> 6. have the nationality of an eligible country
> 7. have been registered as a supplier
> 8. Police clearance at the expense of the bidder"

Blackdeck Livestock and Poultry Farming, not being a legal persona, had no capacity to act. It had no tax obligation. It could not have the nationality of any country. It could not be the subject of Police clearance. It had no directors who could be subject of Police clearance. It was just a fiction created as a means of committing crime.

> "misrepresentation" means any act or omission of any kind whatsoever which wrongly or incorrectly represents any fact, law, character, circumstance, opinion or other thing whatsoever and, without limiting this definition in any way, includes–
> …….

See the definition of misrepresentation in s 135 of the Criminal Law Code

We accept Mr *Dzvetero's* submission that the use of an unregistered trade name in submitting the, bid on its own, does not necessarily constitute fraud unless accompanied by the intention to deceive another person or realising that there is a real risk or possibility of deceiving another person and intending to cause another person to act upon the misrepresentation to his or her prejudice, or realising that there is a real risk or possibility that another person may act upon the misrepresentation to his or her prejudice. However, the peculiar circumstance of this case are that Blackdeck (Pvt) Ltd, itself was not eligible to bid. It had been deregistered by NSSA in the year 2016. It was not ZIMRA tax compliant. It could not logically submit a bid because its papers were not in order. The only reasonable inferences are that it either provided the means to commit the crime or its papers were stolen

to be used in the commission of the fraud. The latter inference is excluded by the fact that Blackdeck (Pvt) Ltd's two lawful directors held a meeting and resolved to submit the bid as Blackdeck Livestock & Poultry Farming.

A company does not exist in human form. It is trite that in common law a company is a fiction which exists, only in the eyes of the law, and described as a legal entity formed by a group of people to conduct business, with the key characteristic that it is separate from its owners and can own assets, incur debt, and sue or be sued. This separation creates limited liability for the owners (shareholders), protecting their personal assets from company debts. Companies have owners (shareholders) and directors who control operations. The criminal design was that the perpetrators would hide behind the facade of the corporate veil they had created to escape criminal liability for their actions. See Farouk HI Cassim, Maleka Femida Cassim, Rehana Cassim, Richard Jossle, Joanne Shev and Jacqueline Yeats CONTEMPORARY COMPANY LAW Second Edition JUTA, at page 41

> "Metaphorically, once a company is formed, a veil is drawn between the company and its shareholders and directors, which separates the company from **its and** directors and protects them from liability for the debts and wrongful acts of the company."

The protection offered by the corporate veil was another calculated reason behind clothing Blackdeck Livestock and Poultry Farming with the stolen corporate identity of Blackdeck (Pvt) Ltd with it. In the event that the crime is discovered the perpetrators would hide behind the corporate veil. In this case both accused persons refused to answer all questions relating to the affairs of their respective companies, Blackdeck (Pvt) Ltd and Millytake Investments (Pvt) Ltd on the basis that they have separate legal personality and should answer for themselves.

We will now consider whether it's true that the perpetrators misrepresented that Blackdeck Livestock and Poultry Farming had the capacity to supply the required goats. A company does not exist in human form. It is a fiction which exists, only in the eyes of the law, and described above as a legal entity formed by a group of people to conduct business, with the key characteristic that it is separate from its owners and can own assets, incur debt. Its capacity to do physical acts is therefore part of the fictional legal persona. A fictional company could therefore not incur an obligation to deliver goats, could not own any assets from which it could deliver goats. Blackdeck Livestock & Livestock Farming submitted, with its bid, a company profile with a detailed pamphlet demonstrating its capabilities in livestock production. Blackdeck Livestock & Livestock Farming could just not have the capacity to do

the physical act of delivering goats because it was just non-existent. One cannot expect nothing from nothing.

In any event the perpetrators had no capacity to deliver the goats. The agreement initially was that Blackdeck Livestock and Poultry Farming would supply and deliver 632 001 goats for Presidential Goats pass-on Scheme valued at US$87 757 168.00. The Ministry negotiated the prices which went down to between USD75 and USD92. The advance payment made to Blackdeck Livestock and Poultry Farming was a total sum of USD 7 712 197.00. At the average price of USD 90 .00 the committee expected to find 85 000 goats. The total number of goats found physically was 3 388 and 325 kids only out of the 32500 goats which Blackdeck (Pvt) Ltd had claimed to have mobilised. There was a shortfall of 28 612 goats (89.6 %). The argument that the rest of the money was used to meet the costs of transportation, vaccines, labour, feed and construction of holding camps was disputed by John Bhasera. In terms of Part 2 of the Standard Bidding Document the quoted prices had to include the cost of delivery to the final destination, customs duty, sales tax and mark up by local agents or representatives.

The prices were to be in United States dollars but payable in Zimbabwe dollars at the prevailing interbank rate. The black-market did not come into it. In fact, procurement entities, bidders, and contractors were required to observe the highest standard of ethics during procurement and execution of the contracts.

The misrepresentation that Blackdeck Livestock & Poultry Farming could do the physical act of delivering goats induced the Ministry to disburse into the CABS bank account of Blackdeck (Pvt) Ltd ostensibly on the instructions of Blackdeck Livestock & Poultry Farming. Blackdeck Livestock & Poultry Farming, being non-existent, could not give that instruction. Blackdeck Livestock & Poultry Farming, being non-existent, could not physically mobilise 32 500 goats. As it turned out there was no such number of goats.

The Certificate of incorporation, CR 14, CR 6, letterheads and PRAZ procurement clearance were all in the name of Blackdeck (Pvt) Ltd, fraudulently used to confer false legal personality Blackdeck Livestock and Poultry closely resembled the name of the fictitious company and were submitted as they were without alteration. They were passed off as legal documents lawfully belonging to the fictitious company without any alteration. The genuine tax clearance and NSSA compliance and ZIMRA certificates belonging to Skywalk Investments (Pvt) Ltd documents could not possibly be passed off as belonging to the fictitious company. They had to be altered and were altered by superimposing the name

Blackdeck (Pvt) Ltd on them to make them similar to the other documents belonging to Blackdeck (Pvt) Ltd, which were going to be passed off in their original form. One can see careful planning here. It is not necessary for us to determine the person who altered /forged the documents because we are not dealing with forgery but the use of forged documents.

The end game was to siphon money from treasury. However, the use of a fictitious company presented its own dilemma. A fictitious company has no existence and lacks capacity to act. It could not, therefore, open a bank account. At this stage bank accounts of companies with the capacity to act had to be used. One can see careful planning here again. The end game of the series of deceptive acts which, together, constitute the fraud was to get money from the treasury. The proceeds of crime would not be paid in cash. The proceeds could only be received though a bank transaction. The perpetrators knew that the fictitious company could not open a bank account. Bankers are not stupid when it comes to money matters, making sense. The CABS bank account of Blackdeck (Pvt) Ltd was inserted into the contract as the bank account to receive the money. The trick was very subtle but very well thought. If indeed Blackdeck (Pvt) Ltd and its lawful and unlawful directors genuinely believed that Blackdeck Livestock and Poultry Farming had legal personality, there would be no reason why they did not open a bank account in its name.

Up to this stage there was actual and potential prejudice. Actual prejudice in the fictitious company escaped disqualification and potential, in that potential prejudice in that all the value of the contract in the sum of $87million was to be disbursed to the fictitious company albeit through the genuine bank account provided by the fictitious company. The perpetrators laundered the proceeds by receiving the money through a legitimate bank which did not belong to the fictious company. As soon as the money hit the bank account of Blackdeck (Pvt) Ltd it was traded on the foreign currency. Some of it was used to buy foreign currency directly from Blackdeck (Pvt) Ltd bank account until finished. The rest was disbursed to friendly companies that also traded all the money on the black-market until finished. Blackdeck (Pvt) Ltd and its agents were fined by the Reserve bank for misappropriating the money that is engaging in unlawful and thus, unethical activity with the money paid by treasury. Conduct contrary to the law is unethical. This is against the background that the standard bidding document clearly stated that the ministry, bidders and all contractors we required to uphold the highest standard of ethical behaviour in all matters relating to the tender.

The ministry officials were correct in believing that they were interacting with Blackdeck (Pvt) Ltd. They were, indeed, interacting with Blackdeck (Pvt) Ltd. What they did not realise was that they were interacting it as perpetrator of a fraud. They could not possibly interact with the fictitious company because it did not exist in any form. It was involved in creating the false impression that Blackdeck Livestock and Poultry Farming existed as a company and legal persona. It provided the means for the creation of the false impression in the form of certificate of incorporation, a CR 14, a CR 6 and its various letterheads. It also provided the means to create the wrong impression that the fictitious company was tax compliant by filing ZIMRA tax clearance certificate and NASSA compliance certificate which had been altered to appear as valid certificates issue to it. Blackdeck (Pvt) Ltd also knew that it was ineligible to submit a bid because it was not tax compliant. It did all that with the intention to induce the government of Zimbabwe to award the tender to the fictitious company and make some payments to it. In non-legal parlance, the end game was to get money from the government which Blackdeck (Pvt) Ltd would be able to access. Over US$7 million was paid into Blackdeck (Pvt) Ltd's CABS bank account whereupon Blackdeck (Pvt) Ltd supplied a few goats and misappropriated all the money by unlawfully trading it for foreign currency on the black-market. The figure raised is unknown. There is no record before us of how the money was used.

The next issue to be considered is the criminal liability of the accused for the fraud. The state is relied on a mixture of direct and circumstantial evidence. Direct evidence of a fact is the assertion of a person who claims to have perceived with his own senses. Circumstantial evidence is any fact from which any fact in dispute may be inferred. The cogency of circumstantial evidence usually arises from a number of independent circumstances which all point to the conclusion.

Counsel referred us to a plethora of cases on the cogency of circumstantial evidence. We reproduce some of them below.

The State quoted J Schwikkard and S E Van der Merwe Principles of Evidence 4 ed (2016) at 578-579.

> 'In *Rex* v *Blom* it was said that in reasoning by inference in a criminal case there are two cardinal rules of logic which cannot be ignored. The first rule is that the inference sought to be drawn must be consistent with all the proved facts: if it is not, the inference cannot be drawn. The second rule is that the proved facts should be such that they exclude every reasonable inference from them save the one sought to be drawn: if these proved facts do not exclude all other reasonable inferences, then there must be a doubt whether the inference sought to be drawn is correct. This second rule takes account of the fact that in a criminal case the state should furnish proof beyond a reasonable doubt.' In R v De Villiers4, Davis AJA pointed out that the test was not whether each proved fact excluded all other inferences, but

whether the facts as a whole did so. At 508 to 509 the court held the following: 'The Court must not take each circumstance separately and give the accused the benefit of any reasonable doubt as to the inference to be drawn from each one so taken. It must carefully weigh the cumulative effect of all of them together, and it is only after it has done so that the accused is entitled to the benefit of any reasonable doubt which it may have as to whether the inference of guilt is the only inference which can reasonably be drawn. To put the matter in another way; the Crown must satisfy the Court, not that each separate fact is inconsistent with the innocence of the accused, but that the evidence as a whole is beyond reasonable doubt inconsistent with such innocence.'

In the same case the court stated the following: -

"Lord Coleridge in Rex v Dickman (New Castle Assizes 1910 referred to in Willis on circumstantial Evidence (Seventh Edition) at pages 46 and 452-60 made the following observations concerning the proper approach to circumstantial evidence.

> "It is perfectly true that this is a case of circumstantial evidence and circumstantial evidence alone. Now circumstantial evidence varies infinitely in its strength in proportion to the character, the variety, the cogency, the independence, one of another, of the circumstances. 1 think one might describe it as a network of facts cast around the accused man. That network may be a mere gossamer thread, as light and as unsubstantial as the air itself. It may vanish at a touch. It may be that, strong as it is in part, it leaves great gaps and rents through which the accused is entitled to pass in safety. It may be so close, so stringent, and so coherent in its texture that no efforts on the part of the accused can break through. It may come to nothing - on the other hand it may be absolutely convincing ... The law does not demand that you should act upon certainties alone ... In our lives, in our acts, in our thoughts we do not deal with certainties; we ought to act upon just and reasonable convictions founded upon just and reasonable grounds .... The law asks for no more and the law demands no less"

S v *Snyman* 1968 (2) SA 582(A)

> '…the ultimate requirement is proof beyond a reasonable doubt; and this depends upon an appraisal of the totality of the facts, including the fact that (the accused) did not give evidence.'

S v *Kuiper* 2000 (1) ZLR 113(S) at 118B-D

> "The test to be applied before the court rejects the explanation given by the accused person was set out by Greenberg J in R v Difford 1937 AD 370. At 373 the learned judge said: `...no onus rests on the accused to convince the court of the truth of any explanation he gives. If he gives an explanation, even if that explanation is improbable the court is not entitled to convict unless it is satisfied, not only that the explanation is improbable but that beyond any reasonable doubt it is false. If there is any reasonable possibility of his explanation being true, then he is entitled to his acquittal..."

In *S* v *Makanyanga* 1996 (2) ZLR 231 (H) at 235 GILLESPIE J said:

> "…the mere failure of the accused to win the faith of the bench does not disqualify him from an acquittal. Proof beyond reasonable doubt demands more than that a complainant be believed and the accused disbelieved. It demands that a defence succeeds wherever it appears reasonably possible that it might be true".

S v *Katsiru* 2007(1) ZLR 364 (H) at p.372. 13.

> "Again, it must appear that the influence of guilt is the only one that can fairly and reasonably be drawn from the facts, and that the evidence excludes, beyond a reasonable

> doubt, every reasonable hypothesis of innocence. If there is a reasonable hypothesis from the proven facts consistent with the defendant's innocence, then the court ought not to convict but must find the accused not guilty".

In *S* v *Mpa* 2014 (1) ZLR 572 (H) P.576A-B 3 1

For the accused's defence to be rejected, the state must show, beyond a reasonable doubt, that the defence is a "fanciful" possibility or a "remote" possibility or "not in the least probable"

In *R* v *Blom* 1939 AD 188 at 202-203 WATERMEYER JA stated:

> "In reasoning by inferences, there are two cardinal rules of logic which cannot be ignored: (1) The inference sought to be drawn must be consistent with all the proved facts. If it is not, the inference cannot be drawn. (2) The proved facts should be such that they exclude every reasonable inference from them save the one sought to be drawn. If they do not exclude other reasonable inferences, then there must be a doubt whether the inference sought to be drawn is correct."

We have already summarised the direct evidence of the State witnesses. We will proceed to consider the circumstantial evidence law which governs the liability of co perpetrators is stated in s196A of the Criminal Law Code.

> **196A Liability of co-perpetrators**
>
> (1) If two or more persons are accused of committing a crime in association with each other and the State adduces evidence to show that each of them had the requisite *mens rea* to commit the crime, whether by virtue of having the intention to commit it or the knowledge that it would be committed, or the realisation of a real risk or possibility that a crime of the kind in question would be committed, then they may be convicted as co-perpetrators, in which event the conduct of the actual perpetrator (even if none of them is identified as the actual perpetrator) shall be deemed also to be the conduct of every co-perpetrator, whether or not the conduct of the co-perpetrator contributed directly in any way to the commission of the crime by the actual perpetrator.
> (2) The following shall be indicative (but not, in themselves, necessarily decisive) factors tending to prove that two or more persons accused of committing a crime in association with each other together had the requisite *mens rea* to commit the crime, namely, if they—
> (*a*) were present at or in the immediate vicinity of the scene of the crime in circumstances which implicate them directly or indirectly in the commission of that crime; or
> (*b*) were associated together in any conduct that is preparatory to the conduct which resulted in the crime for which they are charged; or
> (*c*) engaged in any criminal behaviour as a team or group prior to the conduct which resulted in the crime for which they are charged.
> (3) A person charged with being a co-perpetrator of crime may be found guilty of assisting the actual perpetrator of the crime as an accomplice or accessory if such are the facts proved.

The evidence against the 1st accused.

As against the first accused it is common cause that he a director of Blackdeck (Pvt) Ltd. It is the company whose legal documents were used to fraudulently clothe Blackdeck Livestock and Poultry Farming with legal personality. He admits that they were used with his

knowledge and permission. A reasonable inference is that he had the requisite *mens rea* to commit the crime as a director he had access to the documents and was deemed to have custody of the legal documents. He admits that he participated in the decision to submit the bid in the name of the fictious company. He does not deny that he interacted with all the witnesses who gave direct evidence of his involvement with the fictitious company. Messrs *Dzvetero* and *Koto,* who represented the 1st accused at the trial argued strenuously starting from the premise that the bidder was Blackdeck (Pvt) Ltd) was the bidder. Based on that premise, they argued that the 1st accused may not be criminally liable for the offence committed because he is not (Blackdeck (Pvt) Ltd). The State should not bother him. They even applied for discharge.

We were not persuaded by that argument. The bidder's name appears on the face of the bidding document in bold capital letters as Blackdeck Livestock and Poultry Farming. The situation on the face of the bid does not require interpretation. The fact that the Blackdeck (Pvt)Ltd logo was put at the top left corner and that legal documents belonging to Skywalk (Pvt)Ltd and Blackdeck (Pvt)Ltd appear in the bid did not transform the fictitious company into either Skywalk (Pvt)Ltd and Blackdeck (Pvt)Ltd. The fallacy of the argument becomes clear when one considers that Messrs Dzvetero and Koto never argued that the bidder was Skywalk (Pvt) Ltd basing on its legal documents that were used. They are clearly wrong. The State managed to prove that the bidder is Blackdeck Livestock and Poultry Farming and a fictitious company. As soon as the fictitious company escaped disqualification the 1st accused person became conspicuous and participated so much in the affairs of the fictitious company to the extent that he became synonymous with it. He became the face of the fictitious company through his interaction purporting to be performing the contract on its behalf. The non-existent company could not perform any legal acts. We are surprised that the defence was persisted with even after all evidence had been led and there was overwhelming evidence before the court that Blackdeck Livestock & Poultry Farming is a fictitious company.

The argument also overlooks the implications of s277 of the Criminal Law Code. In his own testimony he said Blackdeck (Pvt) Ltd resolved to submit a bid. It did submit the bid, intentionally, using a fictitious name. He admitted in his defence outline, that he is a lawful director of Blackdeck (Pvt) Ltd. As a lawful director is deemed to be criminally liable for the fraud committed by it. He could

escape criminal liability by discharging the burden on him in terms of the proviso, that he took no part. He curiously sought to rely on the corporate veil. Such defence is not available in criminal law except in terms of the proviso to s277 (3) b of the Criminal Law Code. The conduct of the company for which it was criminally liable was deemed, by operation of law, to be the conduct of its lawful and unlawful directors who were, for that reason alone, liable to be charged in their personal capacity.

Counsel for the 1st accused submitted that; it was necessary for the State to adduce evidence that the 1st accused person committed a crime while going about his company business in the tender and no such evidence had been adduced by the State. He cited the case of *Deputy Sheriff v Trinpack Investments (Pvt) Ltd* HH 121/11 where PATEL J (as he then was) quoted with approval the case of *Cape Pacific Limited v Lubner Controlling Investments (Pty) Ltd & Others* 1993 (2) SA 784:

> "It is undoubtedly a salutary principle that our courts should not lightly disregard a company's separate personality, but should strive to give effect to and uphold it. To do otherwise would negate or undermine the policy and principles that underpin the concept of separate corporate personality and the legal consequences that attach to it. But where fraud, dishonesty or other improper conduct (and l confine myself to such situations) is found to be present, other considerations will come into play. The need to preserve the separate corporate identity would in such circumstances have to be balanced against policy considerations which arise in favour of piercing the corporate veil… And a court would then be entitled to look into substance rather than form in order to arrive at the true facts and if there has been a misuse of corporate personality, to disregard it and attribute liability where it should rightly lie…….".

That was the common law in 1993 before the codification of the criminal law in Zimbabwe. It is, however, noteworthy that PATEL J, as he then was, expressed misgivings about the application of the corporate veil in cases of fraud, dishonesty and other improper conduct. The views expressed by the court must have informed the wording of s 277 of the Criminal Law Code which literally pierced the corporate veil by operation of the law in cases of criminal conduct for which a company is liable in as far as directors of companies are concerned. In other words, the concept of the corporate veil is still part of our law but the Criminal Law Code has modified its application in criminal law. The common law concept of the corporate veil now protects only shareholders who are not directors and employees of the company which is criminally liable for the offence charged. It also protects only those directors and employees who did not take part in the criminal conduct constituting the crime. The 1st accused's participation was proved by the direct evidence of the state witnesses and also admitted by him. He did not contest the credibility of the State witnesses. In his evidence

in chief he said he, by and large, agreed with their testimonies concerning his participation. The evidence of the witnesses is summarised above.

The 1st accused submitted that he was criminally liable in his personal capacity unless Blackdeck (Pvt) Ltd was, at the same time with him, prosecuted for the crime or even prior to him, perhaps. That is a misreading of s 277. The only requirement is that the company for which the accused is a director 'is or was liable to prosecution' Whether or not the company is prosecuted is the prerogative of the National Prosecuting Authority chaired by the Prosecutor General. The independence of Prosecutor-General is protected in terms of s260 of the Constitution. In any event, even if Blackdeck (Pvt) Ltd and he had been charged for the crime they were going to appear as co-accused at a joint trial. A joint trial is exactly what the name entails. It means trials that could be separate are held at a joint sitting at the discretion of the Prosecutor General. No one can therefore demand joinder of trials. There is no law which prohibits the Prosecutor General to proceed against the 1st accused first and against his co-perpetrators later.

Ironically the 1st accused cited that case of S *v Lovemore Kurotwi and Dominic Mubaiwa* HH 270/16 where the court stated that:

> "A company director who commits a crime while going about his company's business attracts personal criminal liability under s 318 of the Companies Act [Chapter 24:03] as read with s 385 (7) of the Criminal procedure and Evidence Act [Chapter 9:07]. Section 318 (1) of the Companies Act prohibits directors from indulging in fraudulent conduct while conducting their company's business while ss 3 criminalises such conduct".

It is clear from s385 (7) of the Criminal Procedure and Evidence Act that the company does not have to be prosecuted. In terms of s385 (7) of the Criminal Procedure and Evidence Act *[Chapter 9:07],* in any proceedings against a director of a company in respect of an offence, any evidence which would be or was admissible against that corporate body in a prosecution for that offence shall be admissible against the accused whether or not such corporate body is or was liable to prosecution for the offence. Any document or record kept in the ordinary course of that corporate body's business or which was at any time in the custody or under the control of any director, employee or agent of the corporate body in his capacity as director, employee or agent, shall be *prima facie* evidence of its contents and admissible in evidence against the accused, unless he is able to prove that at all material times he had no knowledge of the document or record in so far as its contents are relevant to the offence charged. It is also clear from the same provisions that the 1st accused may not lawfully deny knowledge of the tax certificates which we are told were kept as part of the

company's records. He may not claim that he was unaware of the company's non-compliance with ZIMRA and NSSA requirements.

A conviction does not necessarily ensue against the 1st accused simply because we found the State witnesses credible. The State is ordinarily required to prove, beyond reasonable doubt, that defence raised by the accused did not apply. (See s 18(4) of the Criminal Law Code).

See also the following cases: -

S vs Mupatsi 2010 (2) ZLR 529 H

> "No onus rests on an accused person to convince the Court of the truth of any explanation which he gives. If he gives an explanation, even if that explanation is improbable, the Court is not entitled to convict unless it is satisfied not only that the explanation is improbable, but that beyond any reasonable doubt it is false. If there is any reasonable possibility of his explanation being true, then he is entitled to his acquittal."

State v Katsiru 2007(1) ZLR 364 (H) @ 372 B-C

> "A conviction cannot possibly be sustained unless the judicial officer entertains a belief in the truth of a criminal complaint, but the fact that such credence is given to the testimony does not mean that conviction must necessarily ensue. Similarly, the mere failure of the accused to win the faith of the bench does not disqualify him from an acquittal. Proof beyond a reasonable doubt demands more than that a complaint be believed and the accused be disbelieved. It demands that a defence succeeds whenever it appears reasonably possible that it might be true".

However, in the circumstances of this case, there is an express provision which placed the onus and the burden on the 1st accused. In terms of the proviso to s277 (3) of the criminal Law Code and s385 (7) of the Criminal Procedure and Evidence Act the accused was required to prove that he took no part in the criminal conduct in which case the presumption of criminal liability would not apply to him. In this case the 1st accused was not only, deemed, but admitted involvement. His decision not to call the witnesses he had initially lined up was shocking. In terms of s18 (3) of the Criminal Law Code the 1st accused was only required to discharge the burden by proving that fact or circumstance on a balance of probabilities. His decision to dispense with defence witnesses means that he neglected or failed to discharge the onus and the burden.

In summary the accused person's defence in this case fell short of a plea of guilty. His trial could have, in principle, properly been dealt with as a special case. In civil procedure the parties to any civil action or suit may, after summons has been issued, agree upon a written statement of facts or the questions of law arising therein in the form of a special case for the adjudication or opinion of the court. The statement referred to in sub rule (1) shall set out the facts agreed upon, the questions of law in dispute between the parties and their

contentions thereon. (See rule 52 of the High Court rules, 2021.) There is no identical provision in the Criminal Procedure and Evidence Act *[Chapter 9:07]*. However, the primary purpose of a trial is to resolve factual disputes raised by the accused person's plea. See s186 of the Criminal Procedure and Evidence Act.

> **186 Issues raised by plea to be tried**
> If the accused pleads any plea or pleas other than the plea of guilty or a plea to the jurisdiction of the court, he is, by such plea without any further form, deemed to have demanded that the issues raised by such plea or pleas shall be tried by the court.

There was nothing precluding the State and the 1st accused from, in as far as the 1st accused person's trial was concerned from proceeding in terms of s314 of the Criminal Procedure and Evidence Act.

> **314 Admissions of fact**
> (1) In any criminal proceedings the accused or his legal representative or the prosecutor may admit any fact relevant to the issue and any such admission shall be sufficient evidence of that fact.
> (2) If he considers it desirable for the purpose of clarifying the facts in issue or for obviating the adduction of evidence on facts which do not appear to be in dispute, the judge or magistrate may, during the course of a trial and on application by the prosecutor, the accused or his legal representative ask the accused or his legal representative or the prosecutor, as the case may be, whether any fact relevant to the issue is admitted in terms of this section.
> (3) Subject to this Act, an accused who is not represented by a legal practitioner shall be warned that he is not obliged to make any admission.

With the agreement of the 1st accused person's legal practitioners the State could have proceeded in terms of s314 (2) of the Criminal Procedure and Evidence Act. Thereafter the parties would have presented before the court a statement setting out all the facts agreed upon, the questions of law in dispute between the parties and their contentions thereon. The court would have then determined the questions of law. Unfortunately, the trial was not very peaceful. It was dominated by so many vicious fights between the State and the accused over procedural issue that it is not conceivable that any such agreement to adopt such a peaceful approach would have been reached.

The undisputed facts are as follows. A group of people conceived the idea to bid to supply and deliver goats under the Presidential Goats Pass-on Scheme as Blackdeck Livestock & Poultry farming. The persons concerned, deliberately clothed their project with the corporate identity of a duly registered company known as Blackdeck (Pvt) Ltd by submitting its documents of incorporation with the bid. They also purported that their project was tax compliant using falsified tax clearance certificates belonging to Skywalk Investments (Pvt) Ltd. The legal documents belonging to Blackdeck (Pvt) Ltd and Skywalk Investments

(Pvt)Ltd helped the project to escape disqualification. The project was able, on the basis of the corporate status of Blackdeck (Pvt) Ltd which it was wearing able to be a party to a contract with government. The 1st accused is a lawful director of Blackdeck (Pvt) Ltd. Blackdeck (Pvt) Ltd was controlled by lawful and unlawful directors. The 1st accused participated at subsequent meetings with the Ministry officials where the terms of the contract entered into between the project and the government were discussed and agreed upon. The 1st accused signed the contract on behalf of the project. At the meetings he was representing the project and Blackdeck (Pvt) Ltd. He, by and large, was the representative of the project and Blackdeck (Pvt) Ltd in the issues relating to the performance of the contract by the bidder. Blackdeck Livestock & Poultry farming did not have a bank account. It could not open a bank account because it did not have the capacity to act. The stolen corporate identity belonging to Blackdeck (Pvt) Ltd was therefore used to submit the fraudulent bid and receive the proceeds of the crime. Accordingly, payments to it were channelled through Blackdeck (Pvt) Ltd. The funds were all traded on the black market for foreign currency as the funds paid to the Project's legal Practitioners. The agreement initially was that Blackdeck Livestock and Poultry Farming would supply and deliver 632 001 goats for Presidential Goats pass-on Scheme valued at US$87 757 168.00. The Ministry negotiated the prices which went down to between USD75 and USD92. The advance payment made to Blackdeck Livestock and Poultry Farming was a total sum of USD 7 712 197.00. At the average price of USD 90 .00 the committee expected to find 85 000 goats. The total number of goats found physically was 3 388 and 325 kids only out of the 32500 goats which Blackdeck (Pvt) Ltd had claimed to have mobilised. The 1st accused avers that Blackdeck Livestock & Poultry Farming is a lawful trade name of Blackdeck (Pvt) Ltd. He accepts that is was not registered as such in terms of the COBE. He avers that Blackdeck (Pvt) Ltd could lawful use the trade name because it assumed and started using it prior to the promulgation and effective date of the COBE. He asserts therefore that the use of the tradename was harmless and the bidder was, for all intents and purposes Blackdeck (Pvt) Ltd. The procurement of the tax clearance certificates was outsourced. The certificates were taken from the files of Blackdeck (Pvt) Ltd and used to validate the bid submitted by Blackdeck Livestock and Poultry Farming with the involvement of Blackdeck (Pvt) Ltd and the 1st accused. Blackdeck (Pvt) Ltd, also, did not know. Blackdeck (Pvt) Ltd has not submitted evidence that it was tax compliant during the year that the tender was advertised. The accused avers that he is protected from criminal liability by the corporate veil.

Thereafter they would have stated the questions of law in dispute between the parties and their contentions thereon for the court to determine.

Anyway, we sat through the 1st accused person's trial despite the fact that all the material facts turned out to be common cause.

The evidence against the 2nd accused

Counsel for the 2nd accused argued that the State`s attempt to rely on circumstantial evidence cannot even begin because there are no proved facts that qualify as facts under the two cardinal rules in *R v Blom*. By the close of the trial, the State had not brought the 2nd accused into the trial. He criticised the State for attempting to link the 2nd accused through the following alleged four circumstances:

a) that he approached one Alban Mhindurwa while in the company of the 1st Accused for advice on how to proceed with the tender awarded to Blackdeck Pvt Ltd.
b) that he participated in meetings for price negotiations.
c) that on 7 February, 2023 he attended one critical meeting at the Ministry of Lands to find a way forward in respect of the progress of the tender.
d) that he attended the launches for the goat scheme throughout the country.

Counsel submitted that without going into the truthfulness or otherwise of the alleged events all the four circumstances relate to alleged events after the award of the tender. They are after the alleged commission of the offence. The offence of fraud is committed at the point of the alleged making of the misrepresentation and the subsequent inducement of the victim to act to its prejudice. The offence would have been committed at the time the tender is awarded. Accordingly, the four circumstances could not link the 2nd accused to the offence.

Counsel also argued, further that, in any event, the 2nd accused gave a completely convincing response to each of the alleged circumstances as follows: He never met with Alban Mhindurwa in the company of the 1st accused. He challenged Mhindurwa`s evidence in cross-examination and further solidified his own evidence in evidence-in-chief. His version in this regard was not seriously challenged under cross-examination. Mhindurwa produced no minutes of his alleged meeting with the 2nd accused. It is not true that the 2nd accused ever participated in any price negotiations in respect of Blackdek`s performance of its tender contract. The evidence given in this regard by Obert Jiri was speculative. Obert Jiri himself did not persist with it under cross examination. We are not

persuaded by the argument. We found Jiri to be a credible witness. He was not motivated to lie against the 2nd accused. He did not speculate. The fact that he interacted with the 2nd accused at a meeting was confirmed by Alban Mhindurwa.

Counsel submitted that there were no minutes of the alleged price negotiation meetings produced. The state witnesses explained that not every meeting was minuted. But such meetings are confirmed by the culmination of the addendum.

Counsel submitted that the 2nd accused admitted to attending one meeting at the Ministry of Lands where he went in his capacity as a member of the EEG and as a personal friend of the 1st accused. He was not a representative of Blackdeck. He attended the launches of the goat scheme as a politician. There is absolutely no basis for this doctrine of "association" as no legal authority is cited for its invocation.

Our findings are that the State led direct evidence from witnesses who all testified that they interacted with him. They are John Bhasera, Alban Mhindurwa, Precious Isa and Obert Jiri. We found them credible. Aspects of his evidence were corroborated by what the 2nd accused, himself, admits. We pick on the following circumstances which we find to be corroborative of the witnesses' testimonies. Earlier, in his evidence, Alban Mhindurwa said the when the 1st accused came to his office prior to the award of the contract he was accompanied by the 2nd accused. In a similar fashion, when Alban invited the 1st accused to attend, a meeting to discuss the modalities of the goats' verification exercise, the 1st accused appeared for the meeting in the company of the 2nd accused. The 2nd accused admits attending the goats verification meeting with the 1st accused. He could not possibly deny attending the second meeting with Mhindurwa because he realised that his name appears on the minutes of the meeting as a representative of Blackdeck. He gave an explanation for his attendance which is not convincing.said that he attended the meeting for the purpose of resolving an issue that had arisen in his capacity as the chairperson the EEG which lobbied for positive discrimination in favour of indigenous companies in the award of procurement contracts. He then said Blackdeck had requested him to attend. He also said he attended at the invitation of the 1st accused, who is a very close friend. Up to the end of the trial the accused person had not placed the court into his confidence regarding the dispute that he claims to have been briefed to tackle at the meeting convened as a pre departure meeting for the goats verification, yet he accepts that he had been appointed by Blackdeck (Pvt) Ltd to attend the meeting in connection with its business interests in the goat tender. The minutes of the meeting clearly record him as a representative of Blackdeck. He may have not seen the

minutes or approved them, but certainly the minutes correctly reflect that he was a representative of Blackdeck because the 1st accused said the company had resolved to involve him. The 2nd accused associated himself with the representations made on behalf of Blackdeck and the decisions taken at the meeting. The fact that Blackdeck (Pvt)Ltd and its lawful and unlawful directors were motivated by his political standing and clout either as a politician or member of a political pressure group does not detract from the fact that he was at the time controlling the affairs of Blackdeck.

John Bhasera said that he met the 2nd accused at his office and at the launch of the goats scheme by the President. He said he knew the 2nd accused prior to the encounters as a political figure. The 2nd accused confirms that, indeed, he was a prominent political person. John Bhasera could therefore not be mistaken about the 2nd accused person's identity. He must be correct in asserting that he met him in connection with this case. That was not the same meeting where the 2nd accused met Alban Mhindurwa. What that means is that the State proved yet another meeting. According to Bhasera the 1st and 2nd accused were the faces of the company that he dealt with. He said the timing of the accused persons' observable participation did not matter. The natural persons controlling the bid could only be known after the award because, before that, canvassing was prohibited. Due process leading to the award was supposed to take place on the papers without any influence. The evidence by John Bhasera shot down the reason touted by the 2nd accused for getting involved with the bidder, whether it is Blackdeck Livestock and Poultry Farming or Blackdeck (Pvt) Ltd. The lobby group could only be lawfully involved in policy formulation and not in canvassing for a particular bidder.

Obert Jiri testified that he had several interactions with both accused persons. Initially the meetings were held to discuss the prices. On behalf of Blackdeck were three gentlemen who included the accused persons whom he mentioned by their names. He had other officials from the Ministry. Under cross-examination on behalf of the 2nd accused he maintained that he believed the 2nd accused attended the meetings. He said they also met at the launch. He thought there were minutes confirming the meetings but most of the meetings were mutual. When it was put to him that the 2nd accused denied attending meetings with him, he said he could not remember because, initially, he was new, but they later became acquainted with each other. He said both accused persons would be there when goats were being distributed. We concluded that the witness gave his evidence well. He did not exaggerate his evidence. He was a credible witness. He had meetings with the 2nd accused to the extent that they

became acquainted with each other. He observed the association of the 2nd accused with Blackdeck at the launch and the distribution of the goats. That a meeting took place where the 2nd accused and he attended was confirmed by Alban Mhindurwa.

Such involvement by the 2nd accused person's in the affairs of the fraudulent bidder cannot be explained on the basis of his chairmanship of the EEG.

The 2nd accused admits that his company participated in the proceeds which it misappropriated in exactly the same way that Blackdeck (Pvt) Ltd did. The money was immediately traded on the black-market and the proceeds remain unaccounted for to date. In terms of s277 as a director is generally criminally liable for any criminal conduct committed by Millytake Investments. He would also be liable for criminal acts committed by Blackdeck (Pvt) Ltd arising from his participation in its affairs in connection with the tender, although, unlawful. In addition to his participation on behalf of Blackdeck he also participated in the misappropriation of the proceeds of the fraud.

We examined the 2nd accused person's defence and did not find it to be reasonably possibly true. He denied any relationship with Blackdeck (Pvt) Ltd or the alleged unregistered entity whether as a member, employee, agent, shareholder or director of. He had not, at any time, acted in any authorized capacity, on behalf of the Blackdeck (Pvt) Ltd or the alleged unregistered entity, as alleged by the state. He appeared at a meeting ostensibly representing Blackdeck (Pvt) Ltd's interests. He said he had no knowledge of the contract between the Ministry of Lands and Blackdeck. He was not present when the goats were supplied to the Ministry by Blackdeck (Pvt) Ltd. At the trial, he admitted attending the launch and subsequent distribution. He said he did not receive any money from Blackdeck (Pvt) Ltd which was part of the proceeds from what was paid by the Ministry. That was clearly untrue because he did, albeit, through MIllytake Investments (Pvt) Ltd. He said the only time that he attended a meeting at the Ministry of Lands was when a dispute had already arisen between Blackdeck (Pvt) Ltd and the Ministry. He attended the meeting in his capacity as the Chairperson of a local pressure group called Economic Empowerment Group (EEG) which advocates for prioritisation of local companies by government when entering into agreements for the supply of good and services. This was not worth of belief. He attended a meeting which preceded the goats' verification exercise. That had nothing to do with policy formulation or preference of local companies in government tenders. The meeting had everything to do with the performance of the tender. He said he was a director and shareholder in a company known as Millytake Enterprises (Pvt) Ltd. The company responded

to the invitation for bids and competed in the bidding process but lost. He therefore could never have advanced the interest of a competitor by helping Blackdeck (Pvt) Ltd in preparation of its bid or to negotiate for the contract. However, at the end of the trial it became clear that, that is what he essentially did. He attended meetings on behalf of the competitor. His interest became clear when he received, through Millytake Investments (Pvt) Ltd the proceeds of the fraud which the company misappropriated.

Having benefited from the cases cited by the parties we have a good appreciation of how circumstantial evidence works. We also did our own separate research and discovered that the application of circumstantial evidence in determining disputed issues is aptly summarised by celebrated authors Hoffmann and Zeffert and Professor Feltoe.

According to THE SOUTH AFRICAN LAW OF EVIDENCE, 4th edition, LH Hoffmann and DT Zeffert at page 588, circumstantial evidence refers to any fact from which a fact in dispute can be inferred. The fact in dispute is the 2nd accused's association with the fraudulent bid. That can be inferred from any fact proved at the trial. At page 591 the same authors wrote that the cogency of the circumstantial evidence usually arises from a number of independent circumstances which all point to the same conclusion.

See also MAGISTRATES' HANDBOOK by G. Feltoe Revised August 2021 at pages 322-3 where case law on circumstantial evidence is ably summarised as follows: -

a. The circumstances from which an inference of guilt is sought to be are all established.
b. The inference of guilt is consistent with all the proved facts and the proved facts are such that they exclude every reasonable inference from them except that the accused is guilty.
c. The circumstances, taken cumulatively form a chain so complete that the conclusion is escapable that within all human probability the crime was committed by the accused and no one else.
d. Where circumstantial evidence leads inexorably to a definite conclusion no direct evidence is necessary for their probative value, save that things do not happen that way without explanation.
e. The circumstantial evidence is incapable of explanation by any other hypothesis than that of guilt of the accused and such should not only be consistent with the guilt of the accused but also inconsistent with his innocence.

The learned author backs this with various cases cited therein.

See also *S* v *Snyman* 1968 (2) SA 582(A)

> '…the ultimate requirement is proof beyond a reasonable doubt; and this depends upon an appraisal of the totality of the facts, including the fact that (the accused) did not give evidence.'

The circumstances of this case in as far as they are relevant to 2nd accused' trial are as follows. A group of people conceived the idea to bid to supply and deliver goats under the Presidential Goats Pass-on Scheme as Blackdeck Livestock & Poultry farming. The persons concerned, deliberately clothed their project with the corporate identity of a duly registered company known as Blackdeck (Pvt) Ltd. To achieve that the perpetrators submitted legal belonging to Blackdeck (Pvt) Ltd to deceptively done their project with stolen corporate status. They also purported that their project was tax compliant after using falsified tax clearance certificates belonging to Skywalk Investments (Pvt) Ltd. The legal documents belonging to Blackdeck (Pvt) Ltd and Skywalk Investments (Pvt) Ltd helped the project to escape disqualification. The project was able, on the basis of the stolen corporate status of Blackdeck (Pvt) Ltd which it was wearing, able to be a party to a contract with government. The 1st accused is a lawful director of Blackdeck (Pvt) Ltd. Hazvinei Kabisira is the other of the two lawful directors of Blackdeck (Pvt) Ltd. Tinashe Chimombe is an unlawful director of Blackdeck (Pvt) Ltd. Blackdeck (Pvt) Ltd was therefore controlled by lawful and unlawful directors. The 1st accused participated at subsequent meetings with the Ministry officials where the terms of the contract entered into between the project and the government were discussed and agreed upon. The State led evidence that the 1st accused appeared at the Ministry in the company of the 2nd accused who admitted his personal participation as avowed to by the State witnesses. The same witnesses whose testimonies are admitted, by and large, by the 1st accused said the 2nd accused was present at the meetings with him. The impression was that they were the faces of both the human faces of the bidder. The 2nd accused admits attending a meeting convened in Alban Mhindurwa's office as a pre departure meeting for the goats verification meeting. He agrees that he attended the meeting in the interests of the project which he wanted to succeed. He was even wearing his hat as chairperson of the Economic Empowerment Group in Zimbabwe which lobbies for the preferential treatment of indigenous companies in government procurement contracts. He therefore attended the meeting intending to use his influence to ensure that the project was not derailed by the dispute which had arisen. On the face of it he unlawfully used the powers of the Economic Empowerment Group because he did not exhibit a resolution authorising him to use his influence. At the end of the trial he had not produced such resolution. While, politically, there is no law prohibiting lobbying for the policy empowerment policy, it was

unlawful to canvass for particular bidder at the expense of others. He did that, all the same and thus interfering with due process. At the meeting he was also appearing with his friend, the 1st accused. He had a keen interest in making sure that their project succeeded. He brought in his political clout. He also said he attended the meeting at the behest of Blackdeck (Pvt) Ltd. We have already found that Blackdeck (Pvt) Ltd was also a perpetrator of this crime. While he said he was representing the business interest of Blackdeck (Pvt) Ltd, he was doing so unlawfully because he did not have a resolution by Blackdeck (Pvt) Ltd authorising him to act lawfully on his behalf. He had simply agreed with the 1st accused to take control the affairs of Balckdeck (Pvt) Ltd and they both attended the meeting donning the corporate identity of Blackdeck (Pvt) Ltd. At the end of the trial he had not produced the resolution. He was therefore in association with the 1st accused in as far as donning the corporate identity of Blackdeck (Pvt) Ltd at the meeting without lawful authority. The Ministry officials were misled and genuinely believed that they were dealing with a representative of the bidder whom they mistakenly believed to be Blackdeck (Pvt) Ltd. **The reasonable inference to be drawn from that circumstance is that the 2nd accused was therefore in association with the first accused in misrepresenting the fictitious company as Blackdeck (Pvt) Ltd.** He was seen at the launch observably associating himself with the 1st accused who was participating in the delivery of some goats on behalf of the fictious company wearing two hats, that of the fictitious company and that of Blackdeck (Pvt) Ltd. Association is deciphered from perceiving. There were only two parties to the launch. They were the government taking delivery and the group of persons who purported to be a registered company by covering their project with the corporate identity of Blackdeck(Pvt)Ltd. It was possible to observe who was representing the government or who was part of the group of people delivering goats was and who were bystanders. Bystanders would just be watching from the terraces. It was possible for witnesses to make that observation. They said they saw the 2nd accused associating himself with the group of people who were delivering goats. The 2nd accused is a director of Millytake Enterprises (Pvt) Ltd. He controls its affairs as its lawful director. Millytake Enterprises (Pvt) Ltd received some of the proceeds which is abused on the black-market in the same way that the rest of the proceeds were abused on the black-market by Blackdeck (Pvt) Ltd and its proxies. The similarity in the modus operandi could not be a coincidence. The *modus operandi* in not keeping record of the amount raised as foreign currency and refusing to account for it on the similar reason that tends to confirm the motivation to steal the corporate veil of registered companies. By virtue of being a director of

Millytake Investments, the 2nd accused is deemed to have participated in the unlawful dealing with the proceeds of the crime. In terms of s 277 he was deemed to be criminally liable of any offence for which Millytake was liable. Millytake was chargeable as an accomplice of the 1st accused and Blackdeck (Pvt) Ltd. He therefore had the duty that he did not participate. He did not lead any evidence. He declined to clarify issues regarding the circumstances under which his company received the proceeds of the crime and spent some unlawfully preferring to hide behind the corporate veil of Millytake Investments. The reasonable inference to be drawn was that he had a propensity to hide behind corporate veil. He unlawfully using the corporate veil of Blackdeck (Pvt) Ltd to justify his attendance at the verification meeting. He was doing so unlawfully. He never produced the resolution to confirm that he had such lawful authority. He had assumed the role of an unlawful director in agreement with his friend, the 1st accused, who is a lawful director of the company. He still hides behind the corporate veil to justify his attendance at the verification meeting. He is hiding behind the corporate veil of Millytake to refuse to account for the proceeds of the crime. He is hiding behind the veil of his political clout to explain his attendance at the launch. He did not produce any proof of any agreement between Millytake Investments (Pvt) Ltd and Blackdeck (Pvt) Ltd justifying its lawful participation in the proceeds of the crime. He is liable in terms of s277 for the criminal liability of Millytake Investments as its lawful director. He is also liable, additional, to his personal participation observed by the State witnesses, for the criminal liability of Blackdeck (Pvt) Ltd in as far as he is fits the definition of an unlawful director in s277 of the Criminal Law Code. He fell within the definition of an unlawful director because he took control of Blackdeck (Pvt) Ltd's business affairs, albeit, unlawfully. He was required, just like the 1st accused, to lead evidence to dissociate himself with the crime that was committed. He did not lead any evidence even from Hazvinei Kabisira, the lawful director or Tinashe Chimombe, the unlawful director.

The cogency of the circumstantial evidence against him in this case from the plethora of independent circumstances listed above all point to the same conclusion, that he was a party to the unlawful project with the requisite *mens rea* to commit the crime and thus guilty as a co perpetrator. The totality of the circumstances listed above cannot be explained by any other inference than that of guilt of the 2nd accused and are also inconsistent with his innocence.

We therefore found that he was a co-perpetrator and guilty as charged.

KWENDA J: …….

National Prosecuting Authority, State's legal practitioners
Antonio and Dzvetero, 1st accused's legal practitioners
Mugiya Law Chambers, 2nd accused's legal practitioners